Last updated: 6th May 2017

SET & FORGET
Supply and Demand Trading



SUPPLY AND DEMAND FOREX AND STOCKS TRADING IN A NUTSHELL

SET IT AND FORGET IT!

Basic concepts and strategy by Alfonso Moreno
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Forex and Stocks Trading

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Alfonso Moreno



My name is Alfonso Moreno. I'm a full time trader, expert technical analyst and founder of www.set-and-forget.com supply and demand online trading community in October 2013.

I have been trading the financial markets using exclusively supply and demand imbalances, a proprietary strategy developed by myself over the years which helps locate in any market turning points where professional and institutional traders are planning their trades.

I was introduced to trading by my best friend before a full month trip to India. I didn't know what a pip or tick was at the time. I was first introduced into options, luckily I didn't have any capital to trade options or I would have blown up my account.

I learnt about Forex and Stocks later and have been trading mostly Forex, Indexes and commodities ever since, while testing for years a series of methodical and strict rules set that have allowed me to become consistent in my trading.

I am at trader, photographer and adventurer. You can follow my photography work at my new Letstimelapse Instagram profile.





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The rules laid out in this eBook are based strictly on supply and demand. Nothing else is needed.

- **No lagging colorful indicators or studies**
- **No volume**
- No lagging overbought/oversold indicators or studies
- **No news** events taken into account
- **No earnings** announcements

The concepts and Videos in this eBook can be applied to any market and timeframe. Forex, Stocks, Commodities, Indexes, Futures, Options, etc.

LEARN MORE ABOUT THE COURSE HERE

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IMPORTANT NOTICE:

This short eBook alone is useless. You need to watch the free material available on my YouTube channel, read and learn from my daily analysis blog, Instagram and Twitter, and test the rules over a long period of time. Knowledge and confidence will not happen overnight. It will actually take you months to learn the basics, but once you've done that part it will change the way you look at the charts and the markets. There is much more to this eBook, it will get you started on supply and demand technical analysis, from there you can decide if supply and demand is the way you would like trade and learn further by focusing on supply and demand alone.

You will be receiving a series of emails, each of them covering a basic concept of supply and demand. A total of 6 emails 2-3 days. Please read them because each of these emails will contain a short video explaining some basic concepts on supply and demand.

Make sure you have added info@set-and-forget.com as a safe address in your email provider to prevent these emails from landing in your spam folder.

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THINGS I HAVE TAKEN FOR GRANTED

In writing this particular basic eBook, I made some assumptions about you that may explain the level at which this book is written as well as show you how Supply and Demand in a Nutshell can be the resource you've been searching for.

Here is what I've assumed about you:

• **You have experience**. If you've chosen this book, you have some familiarity with Forex, the Stock markets and the risks and rewards it presents to you. As an investor, you seek ways to manage those risks and rewards. However, if you're not familiar at all with supply and demand or you've just had a little exposure to them, fundamentals and mechanics are covered here.
• **You know the basics**. You know concepts like pip, tick, candlestick, leverage, what an exchange is, a contract or a lot, risk reward and profit margin.
• **You have computer and Internet access**. I can't imagine trading or investing without a computer and reliable access to the Internet . . . so I assume you have both.
• **You are not looking for holy grail**. There is no holy grail strategy, many strategies are legit and can work, it's all in the mindset and how committed you are to become successful at something.
• **You don't expect to learn how to trade supply and demand imbalances overnight**. It will take you about a year (probably more) before you understand the strategy laid out in this eBook and the Set and Forget community. Your brain needs time gain to build habits and patterns in order to gain the confidence to trade any rules set. There are no shortcuts.
• **You use a broker**. I assume you have a comfort level with your broker's trading platform or web platform. It may serve as a resource for some of the ideas covered in this eBook.

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This eBook is not written as a trading guide with newbies in mind, you should have some basic knowledge. This is an eBook for those of you who want something special. It is for the typical trader who has wasted his time trying to improve his understanding of the financial markets, spent thousands of dollars in education and workshops, joined several online services and trade signals, but still needs a trading plan and an edge and an strategy that works over time in any market.

It isn't an eBook for someone who only ever follows the path of least resistance because there is no path of least resistance in learning. If that's you, put this book back on the bookshelf now and move on down to an author that tells you what you want to hear, not what you need to hear.

The financial market is a world where we should not foster mediocrity or sell you easy shortcuts. It is a place where everyone of us is equal as long as they are prepared to bust their arses with hard work and commitment. No matter who you are in the 'real world', when you step into the supply and demand domain, you join them or you fail.

There is no room and no time for debate or arguments. Save that for the social media wannabes and charlatans who waste their lives talking and chattering rather than doing. This is the world of results and the opportunity for those who are willing to take action to finally make a change in their trading. Some of you will go all in and totally transform your trading and results, most will fail because they won't be able to muster the level of commitment to master a trading strategy. You just get out what you put in, and if your ambition is modest then your output will also reflect that modesty. This eBook is not here to judge, it is here to get you the basic trading skills that your efforts deserve.

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Trading the financial markets is not a 100 meters hurdles race with hurdles every 10 meters, but a marathon race with hurdles every 100 meters.

Those who have been following me for some time on Forex Factory thread, YouTube, Instagram and Twitter know how hard I've worked to try and help many traders since I first started to share my analysis back in 2013. It all started like a simple trade journal on Forex Factory, but out of the blue in a few months it became something very different to what I had initially created it for. The thread had grown to such an extent that I could have never imagined.

I'm really glad that so many of you are interested in understanding how the market works when seen through supply and demand glasses.

Life is karma, life is a boomerang. Whatever you do in life, it will be returned to you 10 times stronger. The original Forex Factory thread changed my life in many ways, hopefully this PDF will change the life of many others as well. The emails I receive almost every day tell me that I'm going in the right direction.

Trading is all about putting your emotions aside to prevent them from affecting your trading decisions. A trading plan and a good trade management plan is executed and managed by a human being made of emotions, so unless you control your emotions, success in trading will be unreachable no matter how much you want it or how good your edge is.

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Methodology ideal for those working full time or part time. No need to be in front of the computer all day long

Worried that you will not be able to learn how to trade or manage your trades because you have a full or part time job? Your job is not a handicap, it is actually a blessing. Why? You only need 30 to 60 minutes a day to do your multiple timeframe analysis, set your trades and go to your work place, it is as simple as that. Having a job is a positive thing, it will help you to detach from the charts and let the trade breathe and play out. You do not need to spend hours a day analyzing the markets to become a profitable and successful trader.

The "Set and Forget" supply and demand trading strategy can be used on any timeframe combination and market. The type of trader you are is directly related to the timeframe sequence that you will choose to trade. It will determine the type of trades that you take, how long you will hold them and how you would manage them. Once you have decided which type of trader you are (by determining the timeframe sequence that you trade) and which timeframe sequence fits your personality, you should accept that and not deviate from it because otherwise you will always be second guessing your trade decisions which will lead to emotional distress. You will only take the trades that your chosen sequence allows you to take. You should not look at different sequences and worry about missing trades. You should ignore them as you will have enough trades per month with the sequence that you are trading.

READ MORE ABOUT IT HERE

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Learn how the market works, no more colourful or lagging indicatorsLearn how the market works, no more colourful or lagging indicators

The imbalance of supply and demand is the only reason why price moves every market. The greater the imbalance, the greater the move in price. Most traders are not aware of the power that trading a supply and demand trading strategy can have. Most of us are really good applying supply and demand logic when we want to buy some food at the supermarket, buy a bottle of wine or a car. We want to buy low and sell high, that's pretty obvious, isn't it? Would you buy your favourite bottle of wine worth 5 euros a bottle for 15 euros? Of course you would not. Why would then most retailers buy a Forex currency pair or a stock when price is so high? Ask yourself that question.

All of us have the potential to be consistent profitable supply and demand traders but we won't be able to achieve that unless we have a strict rules set to lean on to plan our trades. **Supply and demand together with price action is one of the best edges you could ever possibly have**. It is very easy to get lost and distracted by reading dozens of books and looking at internet resources that push fancy, colourful and lagging indicators of which only tell you what has already happened. RSI, CCI, Bollinger Bands and a long plethora of indicators are just telling us what is already known to big investors that trade supply and demand, they just buy low and sell high, **it is as simple as that.**

WATCH THIS VIDEO TO LEARN MORE ABOUT IT

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HOMEWORK YOU NEED TO DO

Knowledge does not come without hard work, we're not living in a science fiction world like the Matrix movie. There is no cable you can plug in your neck to learn how to trade or gain the professional mindset required to become profitable. There is no holy grail.

If you believe supply and demand is the way you want to trade, you must work very hard. Allow for 1-2 years to learn the rules and gain confidence in them. There are no shortcuts. Learning how to trade is much more difficult than any university career, be realistic!

Subscribe to my social media channels (links at the footer of every page in this eBook) to learn about new potential setups and commentaries, where high odds setups are posted and discussed. Watch the videos on my YouTube channel and my Blog. Interact, there is no better way to learn than interacting.

Don't despair. You can't fast forward time, there are no shortcuts. You just have to be patience and believe in what you're doing.

If you see the potential to make money trading but for some reason still can't make money trading then there are other issues at work like trading plan, emotions, a fix set of rules, other traders supporting you, etc. This is where you can get your questions addressed fully & the support from all within the community, it's like a family. **If you believe in supply and demand methodology and you're willing to work hard, you will be welcome to JOIN US**

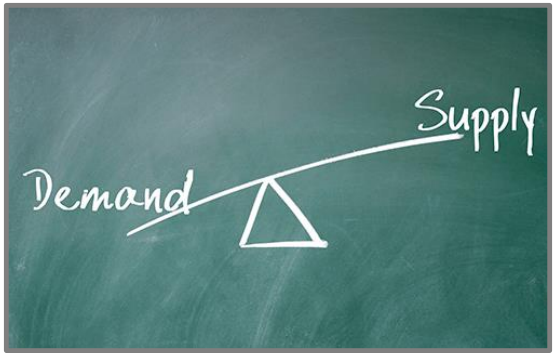
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WHAT IS SUPPLY AND DEMAND?

The only reason why a price moves in any, and all markets, is because of the imbalance in supply and demand. The greater the imbalance, the greater the move in price.



Why do imbalances occur?

• The currency market, the financial world in general is dominated and ruled by big investors, institutions, central banks and professional trades. They have the ability and capacity to move and change the markets with thousands of orders- These orders create the so called supply and demand imbalances.

• **Daily news** occurs and affects the world's economies

• **Positive news** usually increases demand, and reduces supply, leading to higher prices

• **Negative news** usually decreases demand, and results in an increased supply

• T**he retailer and small investor ends up becoming the bait**, the liquidity the professional traders need to fill many of their orders. They can't sell if there are no buyers interested



Every trader/institution has a different perception of fair price and future value. Supply is simply the amount available, while demand is the amount that is wanted. Supply is the amount available at a particular price, while demand is the amount that is wanted or desired at a specific price.

As prices increase, a seller's willingness to sell products will also increase. The opposite of this shows that as prices increase, we see demand reduces. Buyers will demand more when prices are lower. **Read more about it in the community.**

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A REAL LIFE EXAMPLE OF SUPPLY AND DEMAND

We are really good supply and demand citizens in real life scenarios, we're potentially great supply and demand traders but when it comes to trading most traders will do exactly the opposite and trade against supply and demand, something they would never do when they want to buy a car, a cloth, a pair or shoes or a house.

Let's imagine that your partner asks you to purchase some meat for dinner. You go to the market and see the price of the steak you normally buy has almost doubled! It's now going to cost you twice as much to enjoy your barbecue; you quickly begin to think how valuable that steak might be. You begin to look at alternatives, such as hamburgers or a chicken; replacement products with which you can get a similar result at a far lower cost.

While you may decide to pay the increased price of that steak, you have to think of the market dynamics at work. Not every steak buyer would be interested in doing this; many would opt for replacement products because they could not afford the new higher price. This is a living example of a supply and demand SD range. As the steak price increases, demand for steak decreases.

The next week you go to the supermarket, and see that steak is half of what you normally pay for it; it's 80% off of last week's price. Now you will think differently to the previous week. You will be thinking that you can buy more while the price is cheap. Other customers are buying while price is cheap, you realise that if you don't act fast, all of the discounted meat will be gone before you buy any!

This is demand at work again. As the price of steak lowered, demand increased, not only for you, but the market in general. This example is very similar to what we see on the currency markets.

The Forex market is the largest in the world, $5 trillions is traded every day, and the reason for this is the heavy demand behind the traded assets. Currencies are the basis for the world's economy. Whenever one economy wants to trade with another economy (provided different currencies are used) a Forex exchange will be required.

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A REAL LIFE EXAMPLE OF SUPPLY AND DEMAND

Unlike markets that are traded through an exchange, each Forex broker is essentially creating a market. More or less, the charts will look the same, but individual bars can be different and price patterns in particular can vary a little from broker to broker. Ultimately, the various markets created by the brokers will, to some extent, be arbitraged (the simultaneous buying and selling of securities, currency, or commodities in different markets or in derivative forms in order to take advantage of differing prices for the same asset.) so they stay close to each other. In the end you have to trade what you see on your charts and ignore everything else.

What we perceive as the personality of a currency pair is just manipulation of that pair. Some instruments have lower liquidity (some Forex cross pairs and exotics), zones are overshot and then they work great. That is not the picture of "this instrument does not respect supply and demand" that is the picture of "this instrument is being manipulated, bear traps, and bull traps".

Remember that Forex is the biggest market in the world, it's traded by professionals and not by retailers. A hunter has all sort of traps to capture its prey, so do the big institutions. We are trying to combat professional hunters, as retailers we are their prey.



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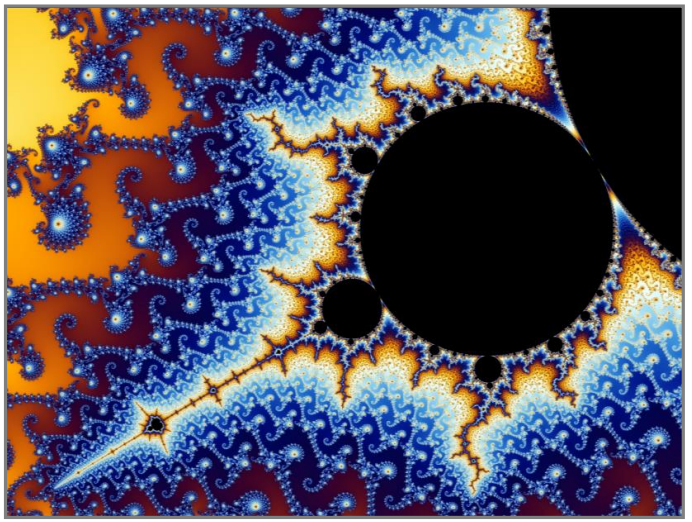
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PRICE IS FRACTAL

Each timeframe can have a different trend, in fact there are multiple timeframes happening right now for every single instrument that exits. Price is fractal. Fractal meaning that there are structures within structures, the same patterns repeat over and over on all timeframes when we drill down a candle on any timeframe. Multiple timeframe analysis is needed to make a high probability decision.

The best combinations for trading multiple timeframe analysis are those that use a common multiplier, in our case four to five. Any multiplier or scale can be used but we need to keep it consistent over the timeframes we select for our sequence. Remember that Forex is the biggest market in the world, it's traded by professionals and not by retailers. A hunter has all sort of traps to capture its prey, so do the big institutions. We are trying to combat professional hunters, as retailers we are their prey.

By using similar scales and multipliers we are making sure that the difference between the chosen timeframes are minimal, the "**fractality**" of candles will match better if we use very different scales for our chosen timeframes. This is why using combinations like Weekly, Daily and 15 minutes charts make no sense, the scale factor is broken.



The figure above displays a Mandelbrot fractal geometry. The discovery of fractal geometry has made it possible to mathematically explore the kinds of rough irregularities that exist in nature. Structures within structures. **Watch this video**

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IT IS PARAMOUNT THAT YOU BACKTEST THE RULES IN THIS eBOOK

Back testing visually on Metatrader 4 or your trading platform is useless because you know what has already happened and you'll tend to find what you are looking for. Back testing without knowing what is going to happen next is the best way to test any rules set, it's what I've been doing for years and where my trading strategy originated.

You can use **Forex Tester 2 software** for your tests (version 3 was recently released). The fact that the software is called Forex Tester does not mean it can't help you testing the rules on other markets. **You can aslo import historical data for any instrument, Stocks, Indexes, Commodities, etc**. It's one of the best testing software out there in my opinion. Once you have tested these rules or any other rules for months (I don't mean months of data, but months of daily work on your side), ONLY THEN you will gain confidence trading these rules or any other strategy you decide to trade.

This is why you have to take your time and backtest these rules a couple of hours a day for months, but most traders don't want to commit to this hard work, they consider it a waste of time and very boring. They do not realize that it's the most powerful tool they have at hand, it's the best way to gain confidence in the rules and eventually becoming full time profitable traders. Traders feel the urge to trade without the confidence of months of testing the rules they are going to use to risk their capital, resulting in blown up accounts! Wonder why most traders fail to become consistent and profitable? Self-sabotage! Most do not want to put the amount of work needed to become a professional trader.

You have to do your homework; nobody can do it for you except yourself. Take your time and test the rules laid out in this eBook. While testing you will see many things that you can't see now or couldn't see the day before, your brain needs time to process all the information, don't rush. If you are not willing to spend some months testing these rules, then you should not be thinking of becoming a trader. Learm more about Forex Tester

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WHAT WILL HAPPEN AFTER A COUPLE OF WEEKS TESTING THE RULES?

There are only 2 possible outcomes:

FIRST ONE. After a few weeks you verify that the rules work pretty well and you are getting a nice % success ratio and you will STOP testing. MISTAKE. A few weeks of testing is NOTHING, if you stop testing after a few days or weeks then you are not getting my point. If you ever went to the University, did you stop studying and making exercises after reading the first book? No, you didn't. You spent a few years studying, graduated and learnt the hard way that you really didn't know about the career you had studied because you have no experience in a real job and most employers will be interested in hiring people with experience in the field.

SECOND ONE. You will see no progress and believe that the rules do not work, thus ignoring this strategy and looking for another one that makes more sense to you. This could probably happen, but it will happen to you on any strategy. You have to believe in the logic of the rules and the nature of the markets, because supply and demand governs the markets and our world, we like it or not. Take your time, spend some months testing, ask any doubts you have, be patient, don't despair!

I am always encouraging traders to test because in my humble opinion it's the only way to gain confidence and become consistent trading any methodology, be it supply and demand, EMA crosses, Fibonacci, MACD, you name it. It's just the way it's, do not believe what I say or do or what anybody else say or do, do it yourself. Step into the "believe stage" of your trading and get the most out of your marriage with the rules you will be embracing, it's the only way. Your thoughts are physical, but you need to work very hard to make them become real.

I am personally focused on swing and position trading for my entries for one single reason, it's not just trading but a way of life. Most of us want to have a life other than being in front of a computer screen all day long, H4 and D1 levels help me to achieve that purpose, it helps me to be patient and walk away from my computer.

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PSYCHOLOGY AND CONTROL OF YOUR EMOTIONS ARE PARAMOUNT

Learning how to trade does not happen overnight. We're emotional beings and as such our emotions have a lot to say about our lives and our careers, how we behave at work or how we deal with problems on a day by day basis.

Having success at trading depends on how well you control your emotions and execute your money management rules. Since we're emotional beings, the money management rules in our trading plan will be managed and executed by a human being driven by emotions, so at the end of the day it's all about how good you are controlling your greed, your fears and your psychology.

There are many strategies that work, it's all about who executes the strategy and how well he manages his emotions.

Learning a strategy but not working on knowing how weak you are emotionally is a recipe for failure. Read as many books as you can on how to control your emotions, if these books are trading related even better. One of the best books on such a matter is Trading in the Zone by Mark Douglas. It changed the way I saw the markets when I first read it a few years ago. There is also a DVD version.

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YOUTUBE VIDEOS ON SUPPLY AND DEMAND

I've created my own templates, tools and indicators for Metatrader 4 platform that will help you draw rectangles (supply and demand imbalances) and extend them to current price, these tools also calculate the number of pips in the zone, draws these imbalances trendlines automatically on the higher timeframes like the Daily and Weekly charts so you can see where these lower timeframes imbalances are located in the context of a bigger timeframe chart and imbalance. **Location and context are key**, so you'd better have the tools that help you to pinpoint where these imbalances are located, you could be buying into a bigger timeframe supply imbalance after a strong rally in price, not a good idea ☺

Some members have indicators for other platforms, Trading View, Trade Station, Trade Tiger, etc.

These indicators are included in a free package you should have downloaded together with this PDF book. Follow the instructions and install them on your Metatrader 4 platform. I wish I could create similar tools for other trading platforms, but I just can't, I do create the tools I need for my own trading and the platform that I use, I just can't spend my time and resources on coding them for platforms I don't use.

Download indicators HERE

You can view the videos on my YouTube channel at: http://www.youtube.com/user/supplyanddemandforex

Subscribe to my YouTube channel if you want to be automatically notified of new videos being posted.

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YOUTUBE VIDEOS ON SUPPLY AND DEMAND

By the way, I am not an OTA graduate, never took a course with them. My initial steps learning supply and demand were based on my finds on free Internet resources, a few forums, public videos published by Sam Seiden and other supply and demand sources on Internet. Anybody who puts a lot of hard work can possibly create their own set of rules and strategy, not just me.

I've just taken the time to compile my own ideas and worked very hard to back test and forward test my rules in the live markets. I've written my own indicators, my own trading plan and my own rules (many of them are common-sense, I didn't invent the wheel), and shared it with other traders, nothing else, that simple. **Supply and demand is the law that governs the markets, I just created my own version as the result of years of testing a series of rules**.

The verbiage and sentences used throughout this PDF may sound familiar to you if you have taken education with any of the supply and demand educational companies out there, there is no use to use different terminology, a fresh level is a fresh level, a rally and a drop is a drop, fresh and original, the range, the altitude, the range, overbought, oversold. I did not invent those terms, they are just commonly used by many educators and supply and demand traders all over the world.

Remember this very important thing: the more indicators you use on your charts; the more rules you will have to add to your trading plan. Adding an indicator means you will have to add rules when to use it and when not to use it and synch it with all the other variables used in your plan. If you add too many indicators, you will be flooded with variables and decisions to be taken in every single trade, resulting in over-analysis and trading paralysis.

Watch supply and demand video analysis on my **YouTube channel**

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THE 3:1 RISK REWARD CHALLENGE

In order to succeed in the trading business you need a sound methodology, and edge and a lot of common sense. Not only that but a lot discipline and a rock solid understanding that if you do not treat this as a business you have a zero chance of long term success. I believe the statistics say that 95 percent or more of new traders fail even when the owner knows what they are doing. Do you really think trading Forex or Stocks is going to be an exception and work for you after 3 months of practice or less?

If you are interested in this trading challenge and you want to learn Set and Forget's supply and demand methodology, read below.

Learn more about this challenge here

LEARN MORE INFORMATION ABOUT THE 3:1 CHALLENGE IN THE FOLLOWING LINK

Many are the benefits if you take accept this challenge. Your traiding will change forever.

LEARN ABOUT THE CHALLENGE HERE

This small 12 minutes' video demonstrates the power of risk reward and 3:1 exits: https://www.youtube.com/watch?v=6ToFTuY79Rk

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IT'S NOT OVER UNTIL I WIN

This is what I believe and I am willing to die for it.

No matter how bad it is or how bad it gets, I am going to make it! This is what we should be saying to ourselves day after day when we are sitting in from of our trading stations.

Some of you right now, you want to go to the next level... in our case, becoming a successful trader... **You can't get to that level economically where you want to be until you start investing in your mind, invest in yourself.**

Watch these 6 minutes' motivational video by Eric Thomas and Will Smith, watch them every day if you will, this is what we need to think about ourselves to become successful at any task. **Click on the images to watch the videos**





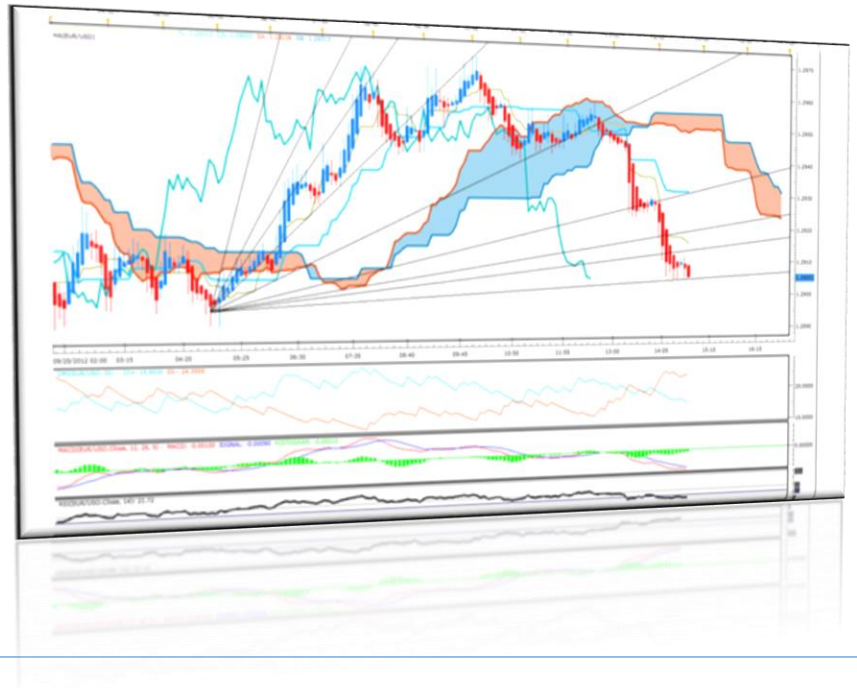
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WHAT YOU SHOULD NOT SEE ON YOUR CHARTS

The chart below shows a chart loaded with indicators, you can hardly see candlesticks. You want to become a trader and not an abstract painter like Picasso.



Crabs? Yummy. I love crabs! ☺ But look at it closely, you can hardly see price action. Those crab patterns are created by price action and supply and demand, but **most traders are more interested in the patterns rather than in what causes those patterns in the first place.**



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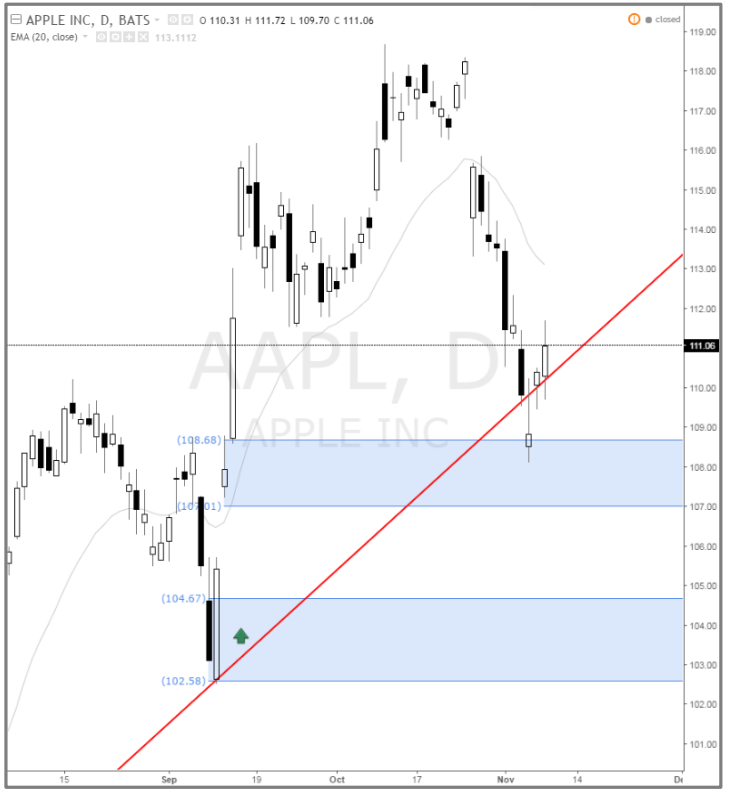
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WHAT YOU SHOULD SEE ON YOUR CHARTS. NO INDICATORS

The chart below belongs to **Aurolab Indian Stock**. Daily demand, daily uptrend. Long triggered. No indicators. Just imbalances. Clean charts. Always planned before the fact read here



Apple US Stock, Daily demand triggered two days ago. Always planned before the fact read here



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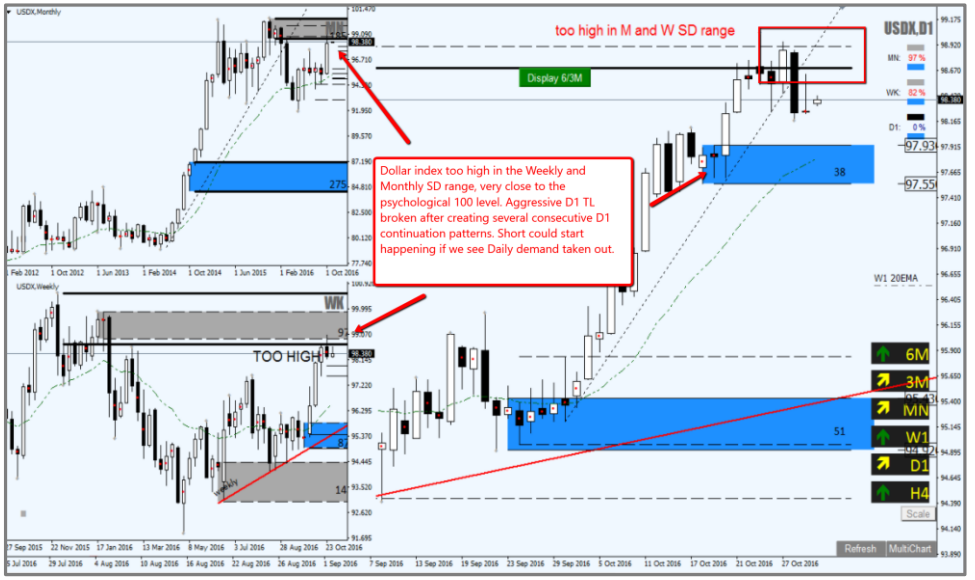
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WHAT YOU SHOULD SEE ON YOUR CHARTS. NO INDICATORS

NZDUSD daily chart. Waiting for new demand to be created to go long. It happened already. As planned before the fact read here

DOLLAR INDEX. Daily demand has already palyed out. As covered here





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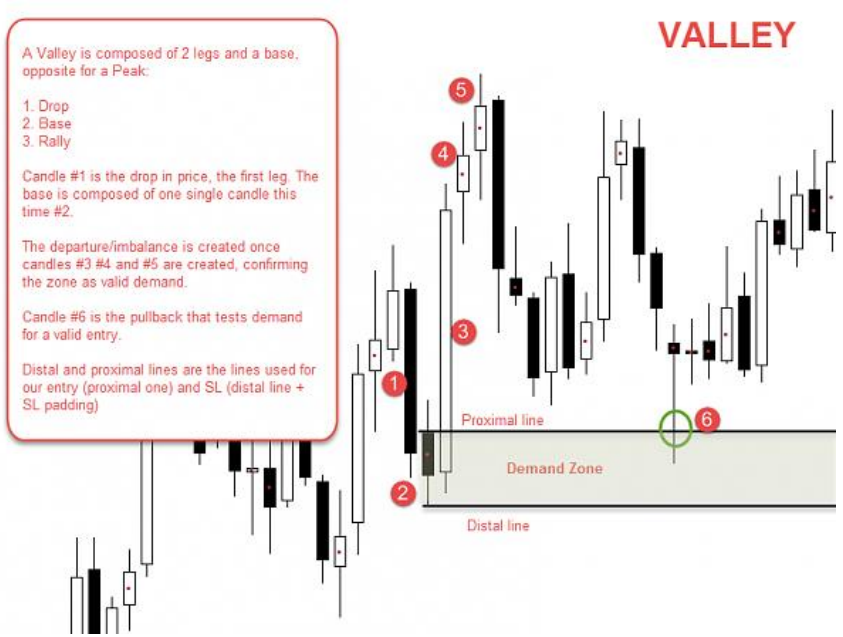
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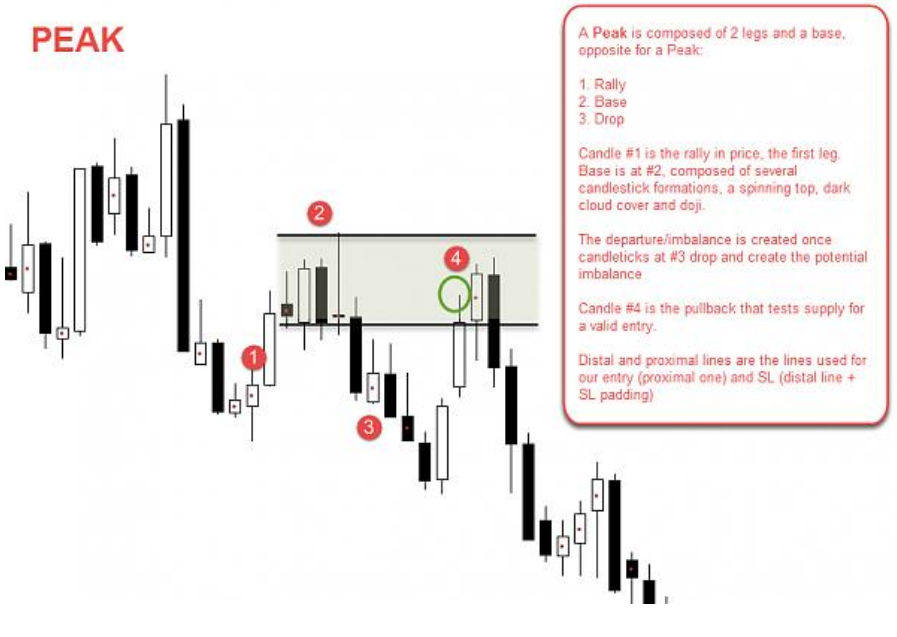
TYPE OF LEVELS, CONTINUATION PATTERN vs SWINGS (valleys, peaks)

Let's make a pretty quick summary of the 4 types of zones we're looking to see on a chart.

PEAKS & VALLEYS: best at the extremes of the range or close to it

Rally-Base-Drop
Drop-Base-Rally





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TYPE OF LEVELS, CONTINUATION PATTERN versus SWINGS (valleys, peaks)

CONTINUATION PATTERN (CP): best for momentum, when trading with the trend

Low odds when you are counter trend or at the extremes of the Range.

Rally-Base-Rally
Drop-Base-Drop

The first thing you want to do is to become an expert locating these kind of levels on any price chart, be it on a H4, a D1 or a H1 timeframe. It doesn't really matter which timeframe you use because *price is fractal*, whatever structures and patterns there are, you will see them on all timeframes. Many say that drawing the levels correctly can be "considered an art"; it takes time, so be patient, your mind and eye need training, and lots of screen time till it becomes second nature to you.



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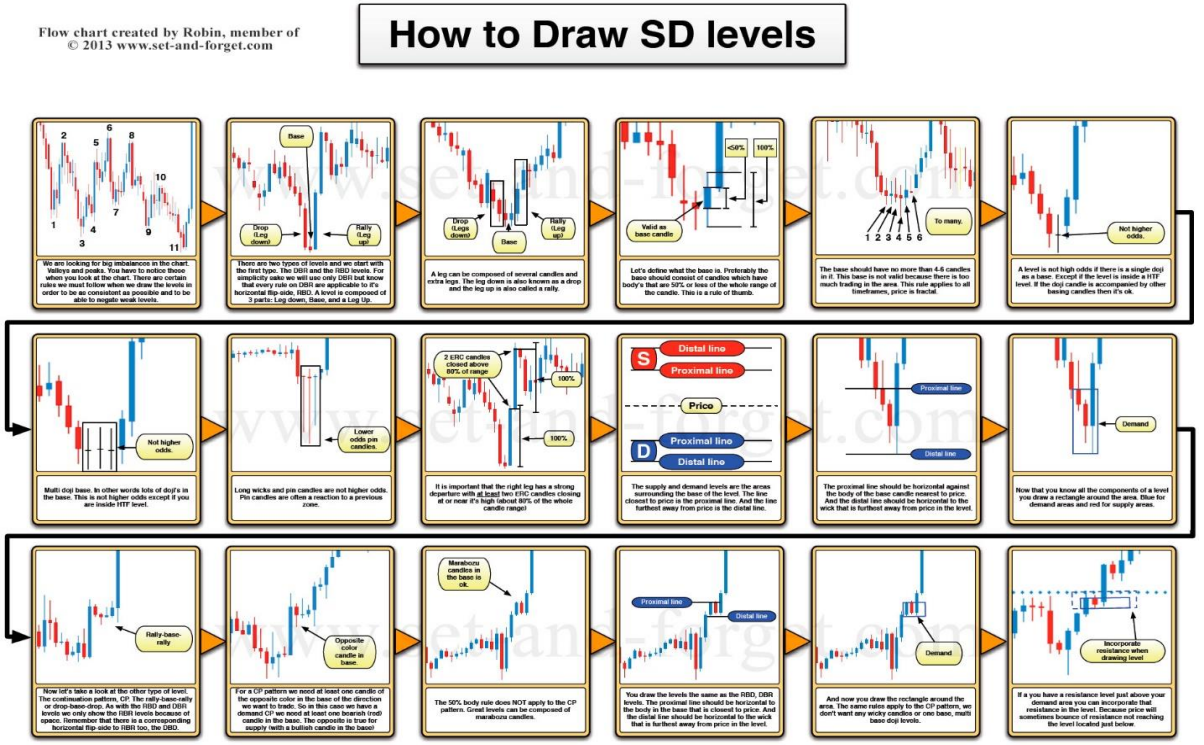
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Flow chart that shows how to mechanically draw supply and demand imbalances. This flow chart was created by our friend Robin, a www.set-and-forget.com member. He has created a few more flow charts that are available at the community: how to draw trendlines, the core strategy flow chart, the sequence, etc. I'm sharing this one with you here so you know what kind of things some of the members have been doing lately in the Set and Forget community.

On this flow chart you will see how to:

Mechanically draw supply and demand zones
What bases are good and which ones are not by locating the 50% candles, first and second legs that every single supply and demand level is composed of, which ones are not high odds, like long tailed/spikes at the bases and too much trading in at the base, etcetera.



How far back in time do I need to go in order to find supply and demand levels?

As far as you need to, days, weeks, months and even years!

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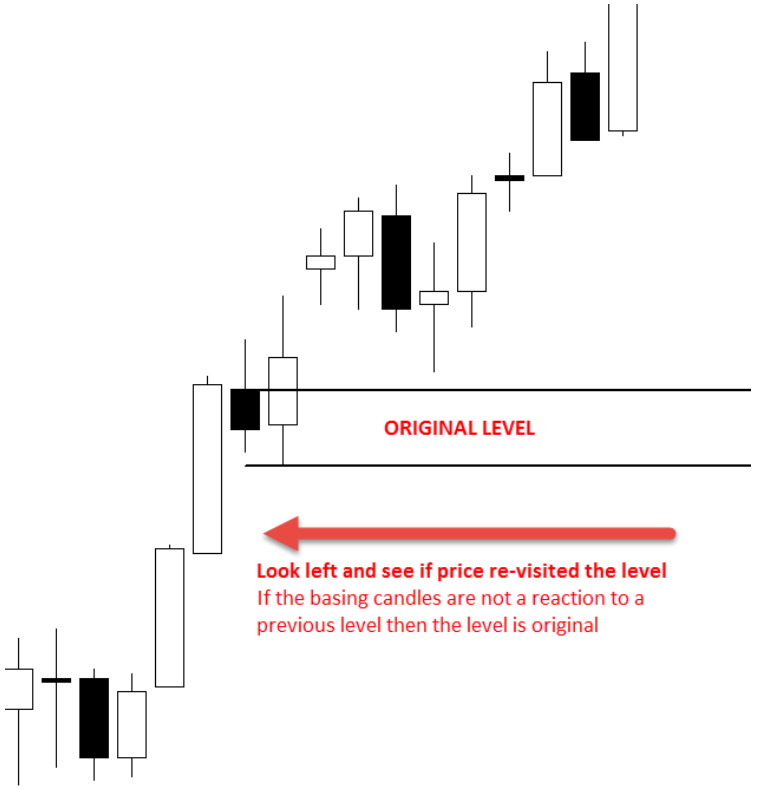
FRESH LEVELS versus ORIGINAL LEVELS

Supply and demand levels can be:

- **Fresh.** Price has not pulled back yet, untested level
- **Non-fresh**. Price has pulled back to it at least once
- **Used up.** Price has pulled back to level several times, not good for trading
- **Original.** Level has been created out of the blue, not being a reaction to any previous level
- **Original and fresh.** Same as original, but it's also fresh (untested)

How do we know if we have an original level of supply? (opposite for original levels of demand)

- **Look left** to find original levels
- Draw a horizontal line at the distal line, and scroll your charts until you bump into a candlestick
- If that candle is part of another supply level, then the supply level you were looking at was not original
- You are not allowed to cut through candles, that is, once you look left by drawing the horizontal line and the line meets a candle, you stop and decide if it's a reaction to a previous supply level
- In order to know if a level is original you need to look left at the origin of the level



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FRESH LEVELS versus ORIGINAL LEVELS

How do we know if we have a fresh level of supply? (opposite for fresh levels of demand)

- **Look right** to find fresh levels
- Draw a horizontal line at the proximal line, and see if price has touched the level
- If price has not pulled back to the proximal line, then it's a fresh level
- Freshness of a level is known when you look right, you have to see if price has pulled back into the level or not



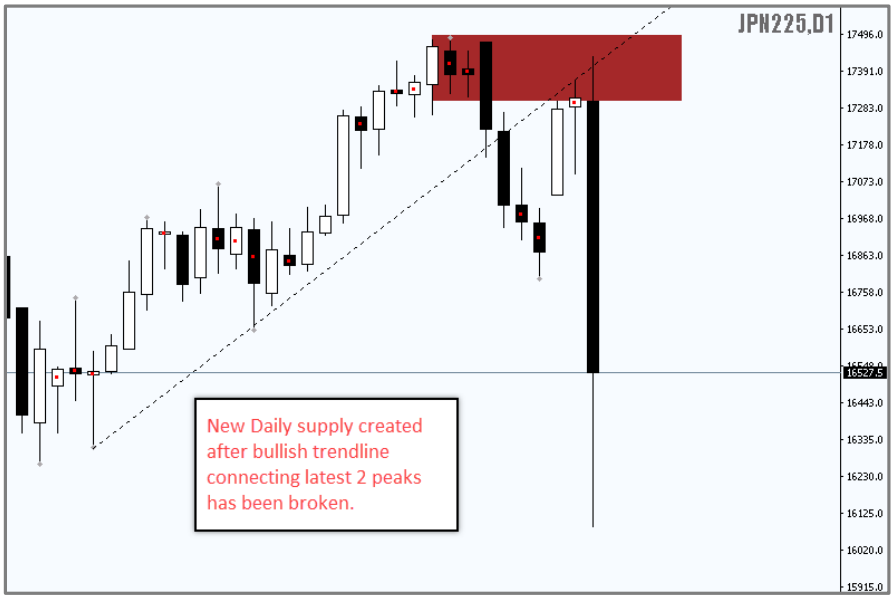
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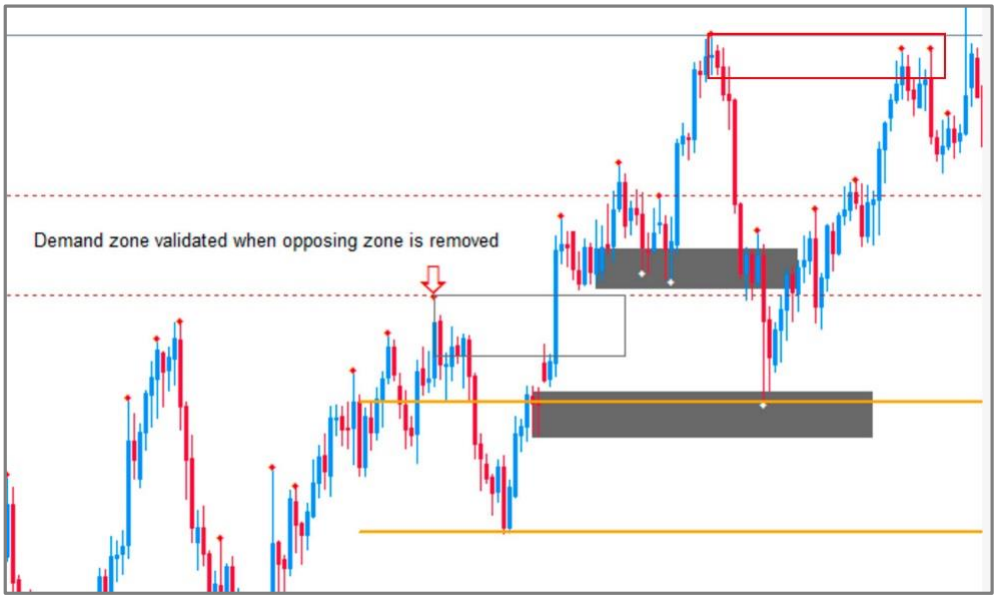
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WHEN IS A SUPPLY OR DEMAND IMBALANCE CONFIRMED AS A LEVEL?

A zone or imbalance is validated under these 2 specific circumstances:

1. **Imbalance took out an opposing zone**
2. **A trendline connecting the last two peaks and peaks (swing longs and highs) has been broken with full candles consolidating away from it**





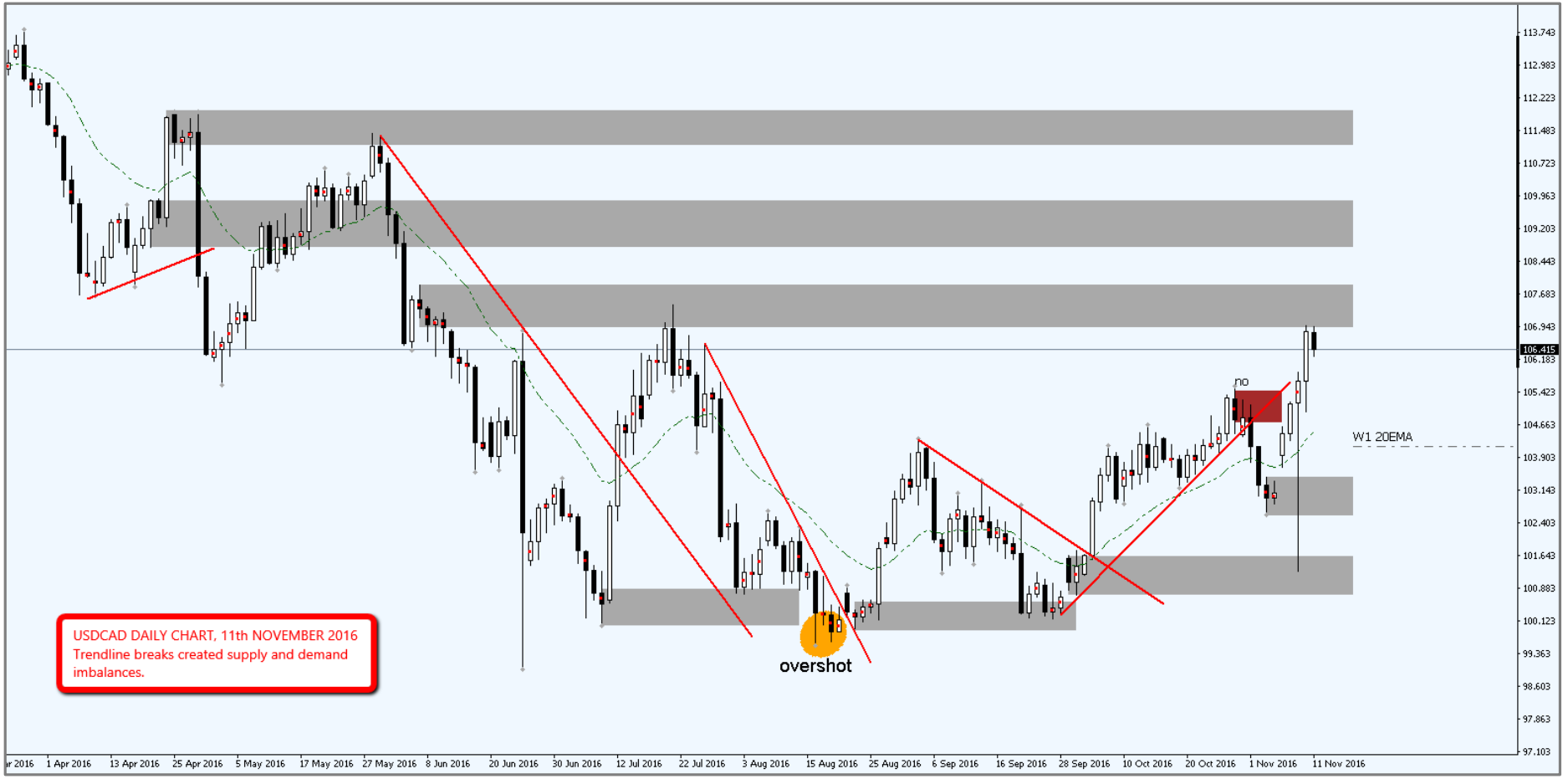
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WHEN IS AN IMBALANCE CONFIRMED AS A LEVEL?

USDCAD DAILY CHART, 11th NOVEMBER 2016. Trendline breaks created supply and demand imbalances.



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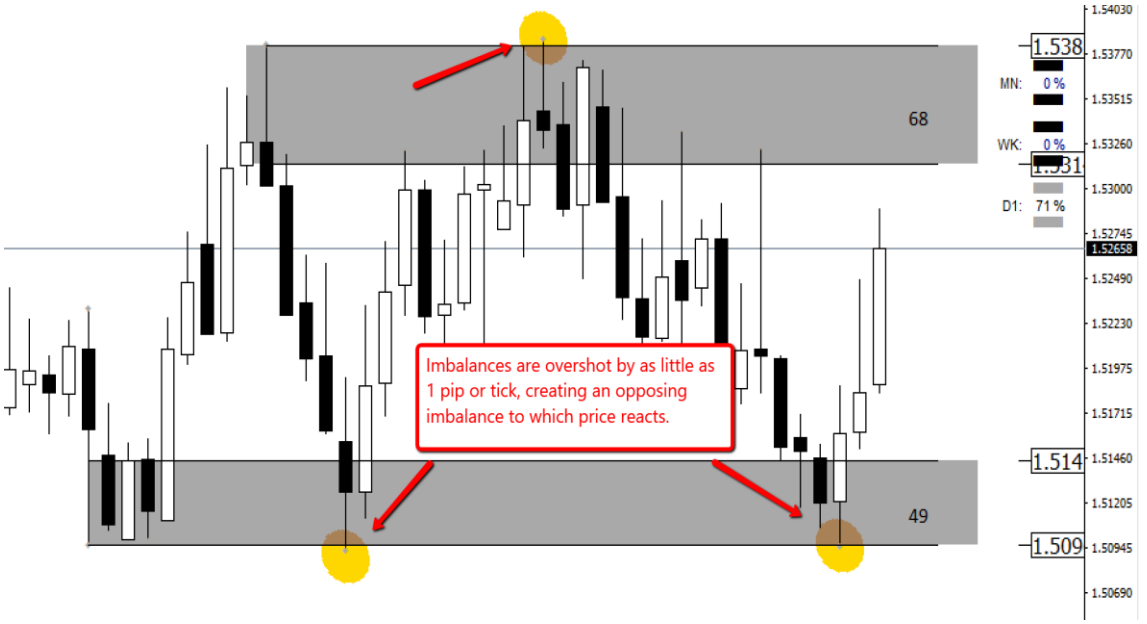
WHEN IS A SUPPLY OR DEMAND IMBALANCE CONFIRMED AS A LEVEL?

When do we consider a zone to no longer be valid? When is it considered to be broken and needs to be removed from our charts?

The zone is no longer valid when it's been taken out by as little as 1 pip or tick.

We don't wait for a close above or below the zone in order to consider a zone as a violation
We don't wait for a full OCHL candle above/below the zone.

Sometimes, we'll see zones overshot by a few pips, others by quite a few pips and we'll see it dropping/rallying after that, most likely after our SL has been hit. If that is the case, a brand new level might have formed confirming willing buyers/sellers, which could be good for a trade once it pulls back to retest it by using the confirmation type of entry.



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HOW TO DRAW IMBALANCES? WHAT PATTERNS CAN WE SEE?

There are many candlestick patterns, so many it would take you quite some time to learn about all of them and even more to remember them. You don't need to learn all of them to draw supply and demand imbalances since only a few candlestick patterns are use to locate and draw the bases for most imbalances these patterns are: **engulfing patterns, piercing patterns, haramis, morning/evening stars**. High wave candles, wicky candles will not be used to draw imbalances. We need a clear bases and pauses in the market

The patterns we'll use to locate bases for most imbalances are:

1. Engulfing patterns
2. Piercing patterns
3. Haramis
4. Morning and evening stars

If you are still interested in learning about all candlesticks patterns, make sure you get hold of any of Steve Nison's books on candlesticks, but remember not to get obsessed with them. As Steve Nison says, candlesticks are useless if they are not traded in conjunction with a strategy, alone they are useless. One option would be The Candlestick Course and the second one would be Beyond Candleticks, both by the same author.

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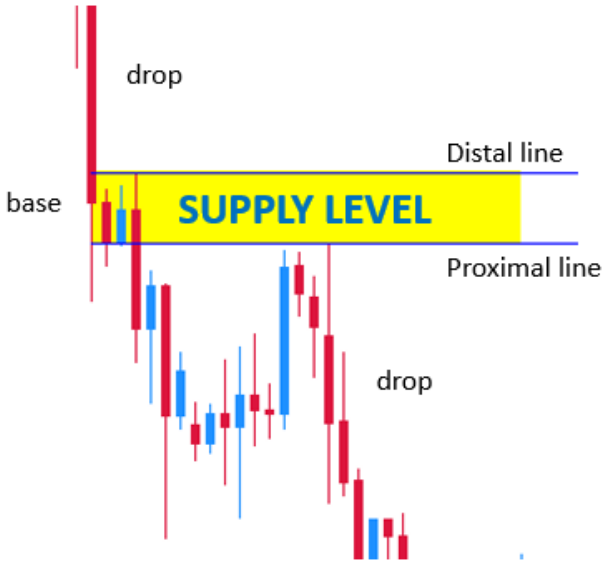
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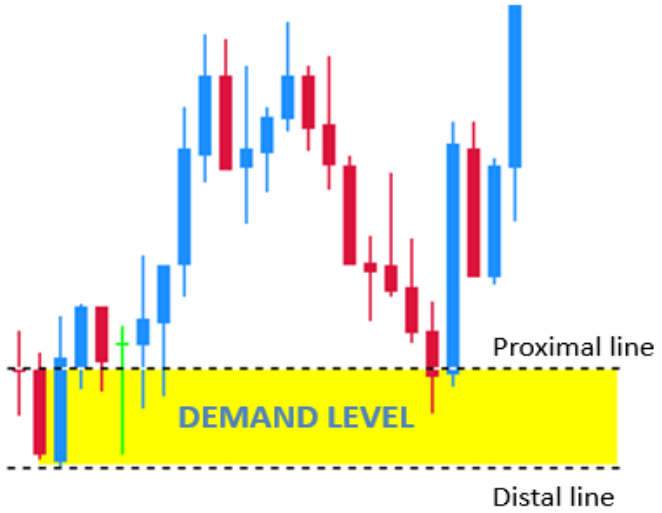
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HOW TO DRAW IMBALANCES? PROXIMAL AND DISTAL LINES

The base of any imbalance can be defined by a proximal and a distal line. The distal line will be the price furthest away from current price, the proximal line will be the closest to current price action. Proximal lines are always at the top on demand and at the bottom on supply, the opposite for the distal lines.

When drawing demand, you must always cover the lowest lows in the basing area or valley (swing low). When drawing supply, always cover the highest highs in the basing area or peak (swing high). ALWAYS.





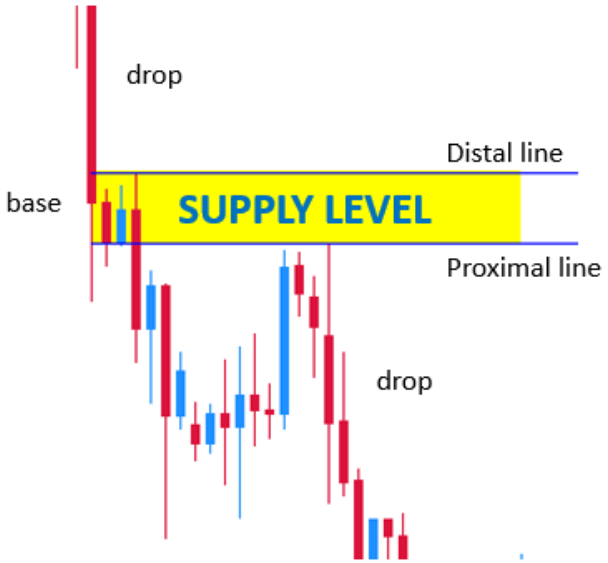
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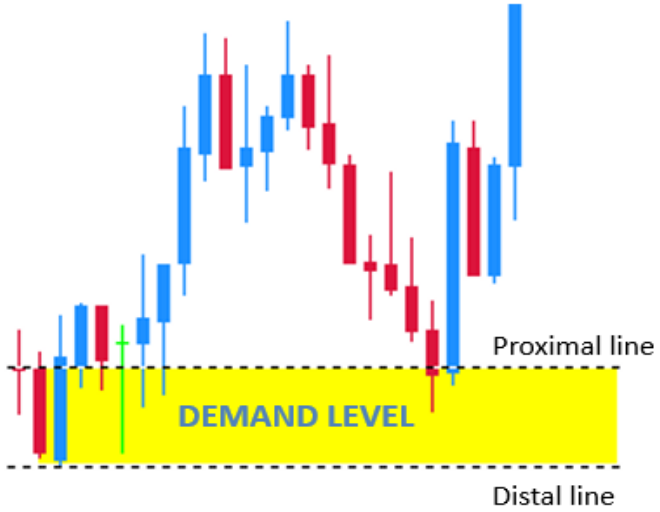
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PROXIMAL AND DISTAL LINES SHORT VIDEO

You will soon receive an email with a short video that will give you more details on how to draw the imbalances based on the candlestick patterns we'll be using to locate and draw imbalances.





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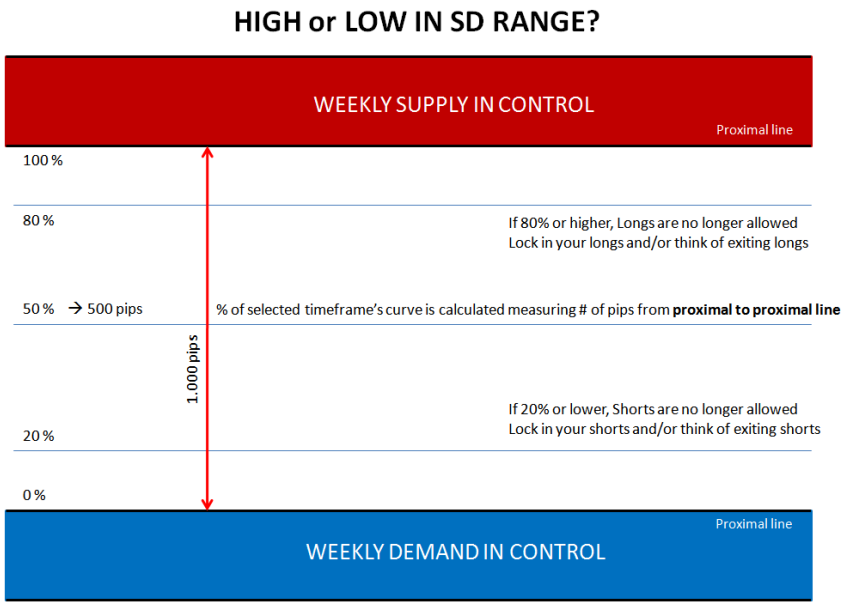
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BUY LOW, SELL HIGH. THE SUPLLY AND DEMAND RANGE

Assessing when a trend has changed is one of the trickiest things a trader will face, because every timeframe has its own trend and multiple trends coexist. You may be trading in an uptrend on H1, but the D1 is in a downtrend, and the weekly in an uptrend. So, the first thing you need to do is to decide which are the timeframes you will be using in your sequence for the **Multiple Timeframe Analysis** and the trend, stick to the timeframes you choose to trade, don't switch them randomly, use always the same ones. Then choose the entry timeframe where you will be drawing your entry supply and demand levels; after that, define the timeframe to assess how high or how low you are in the Range, it will tell you if you are too high to buy or too low to sell, so you will be more or less aggressive in picking up levels or your TPs (exits).

If you are too high in the Range, you should be thinking of exiting your longs and looking for supply zones to lean on for your shorts if the odds are with you and the trend is as well.

Use the screenshot on the right as a guidance to mechanically know how high or low you are in the Range. Decide the % you will consider as too high in the Range (how close you are to higher timeframe proximal line), and don't go long if price is higher than that %. Do the same for the low %. Decide upon that and don't break the rules, you will avoid many losses by doing so.



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MULTIPLE TIMEFRAME TOP DOWN ANALYSIS

What is multiple timeframe analysis? What is a top down analysis?

Most technical traders in the forex and futures markets, whether they are novices or seasoned pros, have come across the concept of multiple timeframe analysis in their educations. However, multiple timeframe analysis is often the first level of analysis to be forgotten when a trader pursues an edge over the market.

Multiple timeframe analysis involves monitoring the same currency pair across different timeframes. While there is no real limit as to how many timeframes can be monitored, or which ones to choose, there are general guidelines that a trader should follow.

Using three different timeframes gives a broader view of any market. Using fewer than this can result in a considerable loss of data, while using more typically provides redundant analysis and indecision. When choosing the three timeframes, a simple method can be to follow the rule of four. This means that a medium-term timeframe should first be determined and it should represent a standard as to how long the average trade is held. From there, a shorter term time frame should be chosen and it should be at least one-fourth the intermediate timeframe for example, a H1 timeframe for the short-term time frame and H4 timeframe for the medium or intermediate time frame. Through the same calculation, the long-term timeframe should be at least four times greater than the intermediate one, so keeping with the previous example, the Daily chart would be the third timeframe.

It is imperative to select the correct timeframes when choosing the three periods.

Clearly, a long-term trader who holds positions for months will find little use for M15 chart, H1 and H4 combination. At the same time, an intraday trader who holds positions for hours and rarely longer than a day would find little advantage in daily, weekly and monthly combinations. This is not to say that the long-term trader would not benefit from keeping an eye on the H4 chart or the short-term trader from keeping a daily chart in the selection.

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PUTTING IT ALL TOGETHER

When all three timeframes are combined to evaluate an instrument, you will easily improve the odds of success for your trades, regardless of the other rules applied. Performing the top down analysis helps you trading with the larger trend, what we call the bigger picture. This alone lowers risk as there is a higher probability that price action will eventually continue on the longer trend. The confidence level in a trade should be measured by how the timeframes line up in this top down analysis. For example, if the larger trend is to the upside but the medium- and short-term trends are heading lower, shorting the market is not a good idea, you should be cautious with your profit targets and stops if you decide to take a trade. Alternatively, you may decide to wait until a higher timeframe demand area has been reached before you decide to join the longer term uptrend.

Another clear benefit from incorporating multiple time frames into analysing your trades is the ability to identify supply and demand areas as well as strong entry and exit levels. A trade's chance of success improves when it is followed on a short-term chart because of the ability for a trader to avoid poor entry prices, ill-placed stops, and/or unreasonable targets.

Multiple timeframe analysis is paramount when trading any strategy, supply and demand is not an exception. We can use a 2 timeframes or 3 timeframes combination for our entries. I will personally use a 2 timeframes combination, because it is more stress free and it allows for more free time, which prevents me from watching the charts like a zombie.

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PUTTING IT ALL TOGETHER

SWING TRADING CONFIGURATION:

Timeframe's combination for medium-term setups.

BIG PICTURE timeframe: Weekly chart as our supply/demand range and bigger picture direction.
INTERMEDIATE RANGE: Daily chart as your intermediate supply/demand range and bigger picture direction.
EXECUTION: H4 chart as the entry timeframe.

INTRADAY TRADING CONFIGURATION:

Timeframe's combination for short term intraday setups.

BIG PICTURE timeframe: D1 chart as our supply/demand range and bigger picture direction.
INTERMEDIATE RANGE: H4 chart as your intermediate supply/demand range and bigger picture direction.
EXECUTION: H1 art as the entry timeframe.

POSITION TRADING CONFIGURATION:

If we choose to focus on the D1 supply and demand levels as your entry timeframe, then switch to this longer term combination.

BIG PICTURE timeframe: Monthly chart as our supply/demand range and bigger picture direction.
INTERMEDIATE DIRECTION: Weekly chart as your intermediate direction and part of the top down sequence analysis.
EXECUTION and trade management timeframe: D1 chart
This is the chart where we should draw and pick our levels up, where we will set our limit orders.
This is also the chart where we will manage our trades, we'll use technical SL to move our SL above/below new D1 SD areas.

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POSITION SEQUENCE EXAMPLE: MONTHLY, WEEKLY, DAILY

Aurolab Indian Stock. Monthly in an uptrend. Weekly in an uptrend. Price retraded to Daily and Weekly demand. Long triggered. **Read original submitted before the fact [here]**

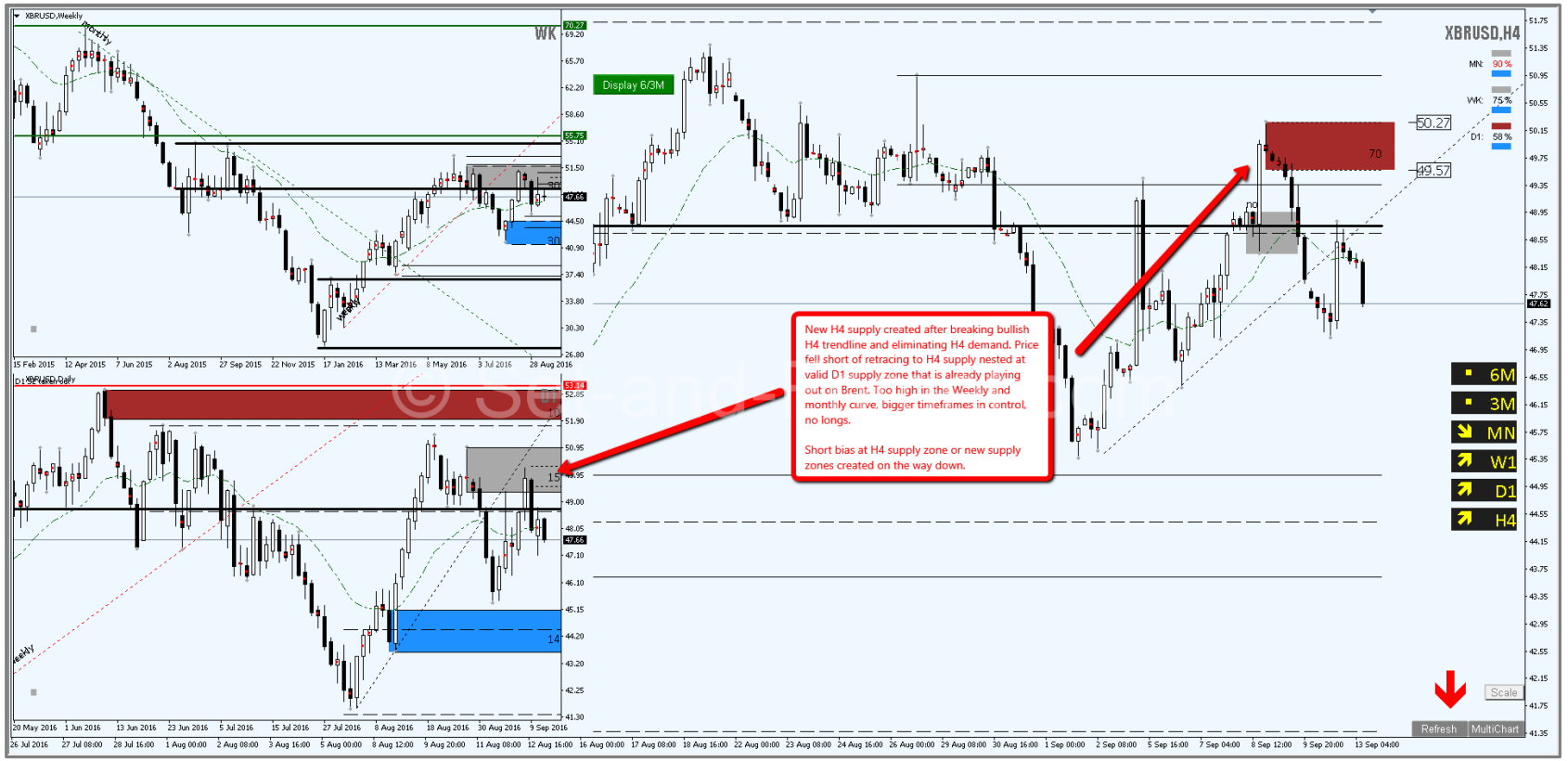


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SWING SEQUENCE EXAMPLE: WEEKLY, DAILY, H4

Brent UKOIL. Weekly supply in control. Daily supply triggered, new H4 supply zones to short at. Short triggered. **Read original submitted before the fact** [here]



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HOW TO DEFINE A TREND USING SUPPLY AND DEMAND

WHAT DEFINES AN UPTREND OR A DOWNTREND AT ANY GIVEN TIMEFRAME?

Each timeframe can have a different trend. Let me define my idea of a trend. Remember it's just my idea of a trend, it makes sense to me so I'm using it. Does it make sense to you? Use it then. Since we are primarily working with supply and demand imbalances, *making a higher high or a lower low does not necessarily mean we continue on the existing trend.*

1. UPTREND: demand areas are being respected, supply areas are being taken out.

A higher high SHOULD remove previous supply to validate the demand zone

You must ask yourself: has the previous supply being removed?

2. DOWNTREND: supply areas are being respected, demand areas are being taken out.

A lower low SHOULD remove previous demand to validate the supply zone

You must ask yourself: has the previous demand being removed?

3. Bullish and bearish consolidation: consolidation happens in an uptrend or a downtrend **when the trendline is broken** or **one opposing zone is taken out**. When this happens we are not allowed to trade in the direction of the previous trendline until price hits one HTF (higher timeframe) zone or it breaks higher/lower than previous high/low created by the previous valid trendline as described in the realignment/sequence rules

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HOW TO DEFINE A TREND USING SUPPLY AND DEMAND

Ask yourself this question: what type of trading are we dealing with here? Aren't you trading the supply and demand imbalances you see on a price chart? We want to trade at those areas where the institutions left a trace, where smart money is lurking to add a new position. Therefore, if we're trading Supply/Demand (SD) imbalances, shouldn't we use the higher timeframe's supply and demand levels to assess our trend? Remember, buy low in and sell high.

What defines a downtrend or an uptrend?

- **In a downtrend:** supply areas are consistently being respected and demand areas are being taken out
- **In an uptrend:** supply areas are taken out, while demand areas are being respected

AS SIMPLE AS THAT. Just look at your D1 or your Weekly chart and see what is going on with the supply and demand areas in control and decide which direction to trade. Once you know what direction you want to go, locate lower timeframe SD areas with a strong departure, little time at the level, fresh zones, and a minimum of 3:1 profit margin (3 times or more the risk in pips of the zone you've taken) and plan your trade.

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HOW TO VALIDATE AND CONFIRM A POTENTIAL IMBALANCE

The only reason why price moves in any and all markets is because of an imbalance in supply and demand. The greater the imbalance, the greater the move.

A strong move in price away from a level indicates that not all orders were filled. For example, at the origin of a demand level, there are not enough sell orders to fulfil the total amount of buy orders. This is why price moves away in such a strong fashion. When price returns to these levels, the novice traders (those who don't know about supply and demand) are selling into an area where institutions (professionals) have their buy orders. Institutions and professionals buy to the novices, then there are no more sell orders so price must rise again. The opposite holds true for supply levels. In both cases, the novice traders provide the liquidity the institutions need to get their orders out in the market.

The best opportunities are where we can buy at the cheapest price possible and sell and the most expensive price possible. This is the same in any market. Supply and demand levels on a price chart show all these levels, you just have to learn how to draw them.

Open a price chart, you will see a multitude of supply and demand levels on every timeframe. That doesn't mean we are interested in trading all of them. Certain levels are more likely to hold than others, you need to have a rules based mechanical methodology as well as making a top down multiple timeframe analysis before you choose the levels you want to trade.

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HOW TO VALIDATE AND CONFIRM A POTENTIAL IMBALANCE

These are some common factors to consider when choosing levels to trade, below some of the basic ones:

1. WHAT THE LEVEL HAS ACCOMPLISHED

2. STRENGTH OF THE MOVE (departure)

3. RISK/REWARD offered by the imbalance

4. QUALITY OF THE BASE.

5. LOCATION AND CONTEXT

6. CONSOLIDATION AWAY and MINIMUM IMBALANCE

7. Confluences like Dollar index and HTF imbalances. The US Dollar Index (DXY) is an index of the value of the United States dollar relative to a basket of 6 major currencies. How do you think such an index can affect forex? A lot! If the $ index is at a higher timeframe supply and the euro is at a higher timeframe demand, we have to go long, there is no other thing we should be thinking.

8. MAJOR INDEXES. Major indexes are connected to their countries' Stocks, they are highly correlated. SP500 with US Stocks, Nifty Index with Indian Stocks, UK100 Footsie with English Stocks, etc.

The *variables* above are some of the main factors (there are more) that should be taken into account when deciding which levels to trade. I personally use these variables to fine tune the level picking process. Remember that trading is a game's number, it's all about statistics.

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SUPPLY AND DEMAND IN CONTROL

1. **On every timeframe there is an area of supply and demand in control**, that is, once price reaches that area, sellers/buyers will be likely in control and price will most likely have some reaction. We're always talking about odds, we can't assume or predict that something is going to happen. If the zone is fresh and good, price will likely drop quite fast and no kind of confirmation will work. If the zone has been touched once or more times, then it will probably not bounce that fast or even break that area. That territory is where sellers will probably fill their orders again. So, supply is control when price is high in the SD range.

2. **What is a supply or demand in control?** It's the previous fresh or non fresh supply and demand zones which has not yet been broken (taken out). If a supply zone has been hit 10 times and the distal line (furthest away price from current price) of that zone has not yet been broken, that zone is still valid, that zone is still the supply in control. You can't, you shouldn't assume or predict that you can buy that high in the range on the assumption that it will be broken. The market will show you when that zone has been broken, you are not the market, nobody is the market. Once it's solidly broken, you will be looking to go long at a good and fresh demand area, but don't buy into a supply zone in control until it's been clearly and solidly broken, it's higher odds and we want those odds in our favour. A zone can resist 1, 2, 3, or 10 pullbacks. Only trade when it's solidly broken

3. **Trade with the trend for higher probability**. The trend is not a straight line, SD levels will work in both directions at any given timeframe, with the trend and counter trend, but the higher odds is to go with the trend until it ends. But where will it end? Near or at a higher timeframe supply/demand area. Avoid unnecessary losses trading against the trend in the middle of the range, you will increase your % success quite a lot if you do it that way. You will miss many trades for sure, but you will filter out many losses as well. You decide, well, your emotions will decide, and that's not good So behave like a robot

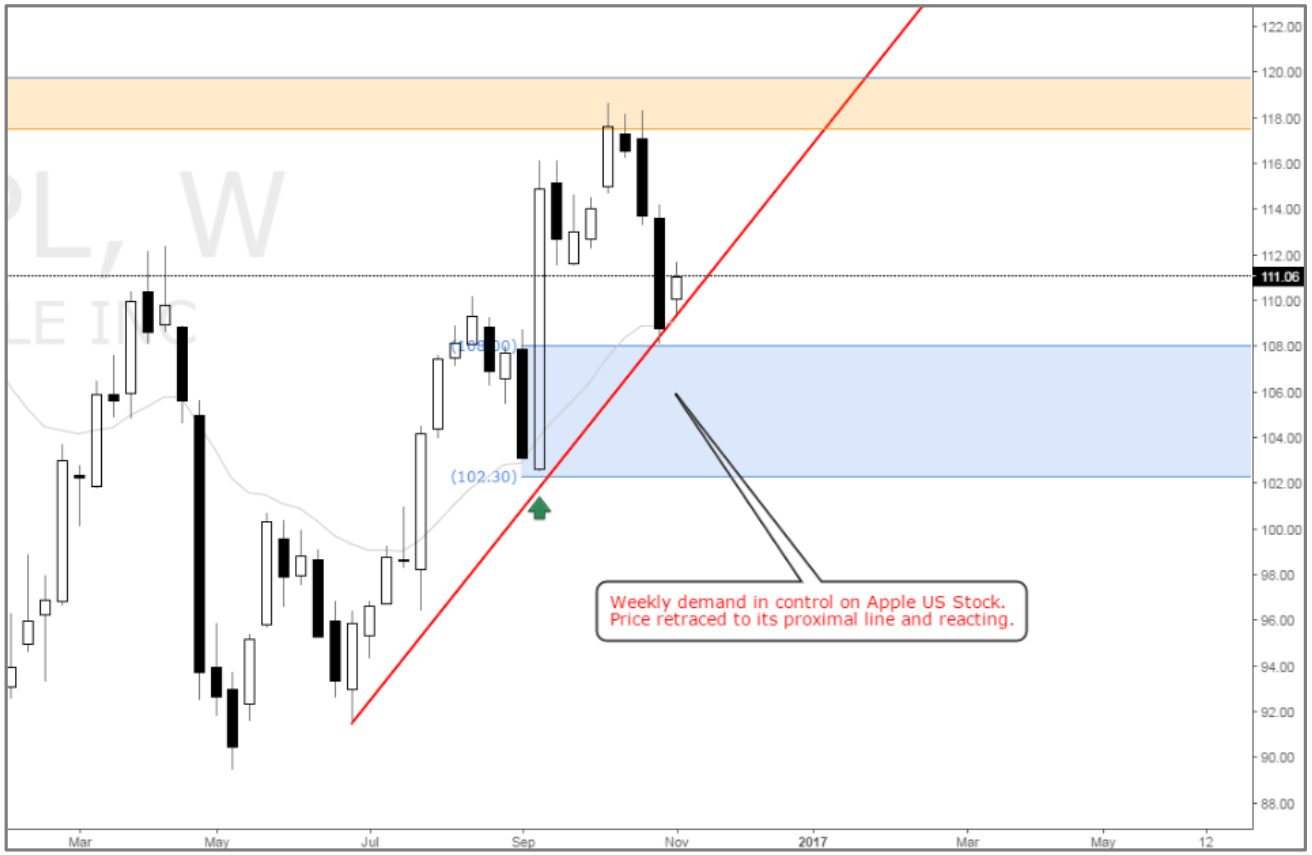
4. **Decide if you want to be a hero by trading counter trend high/middle/low in the range**, or you just want to go the safe way by buying the dips and selling the pullbacks with the current higher timeframe. .

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SUPPLY AND DEMAND IN CONTROL

Weekly demand in control on Apple US Stock. Price retraced to its proximal line and reacting. Demand is in control as soon as price hits its proximal line.



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SUPPLY AND DEMAND IN CONTROL

New demand created at #2 after the trendline break gains control as soon as price retests it. No shorts allowed.
Supply at #1 gains control as price retests the proximal line.



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THE RANGE

Let me show you a couple of examples of supply and demand in control in higher timeframes, what it's called the range.

Remember, for higher odds we want to buy low in the range and sell high in the range.

So these are the steps you need to take:

1. **Decide which kind of trader you are**: are you a scalper, intra-swing, intraday, or swing or position trader?

2. Once you know what kind of trader you are (not that easy because your mind will want to trade on all timeframes, you will see SD levels on all charts, with the trend and counter-trend, you will chase trades), **decide which is your Range timeframe**.

3. **Use the WK chart as the range for your swing trading**. D1 can also be used.

4. **Use the D1 chart as the range for your intraday trading**

5. **Going lower than that will be placing more odds against you**, you can use H4 or H1 for scalping, but I will never do that. But each trader will decide, but whatever you decide, forward test it hundreds of trades. Don't back test, you will see what you want to see.

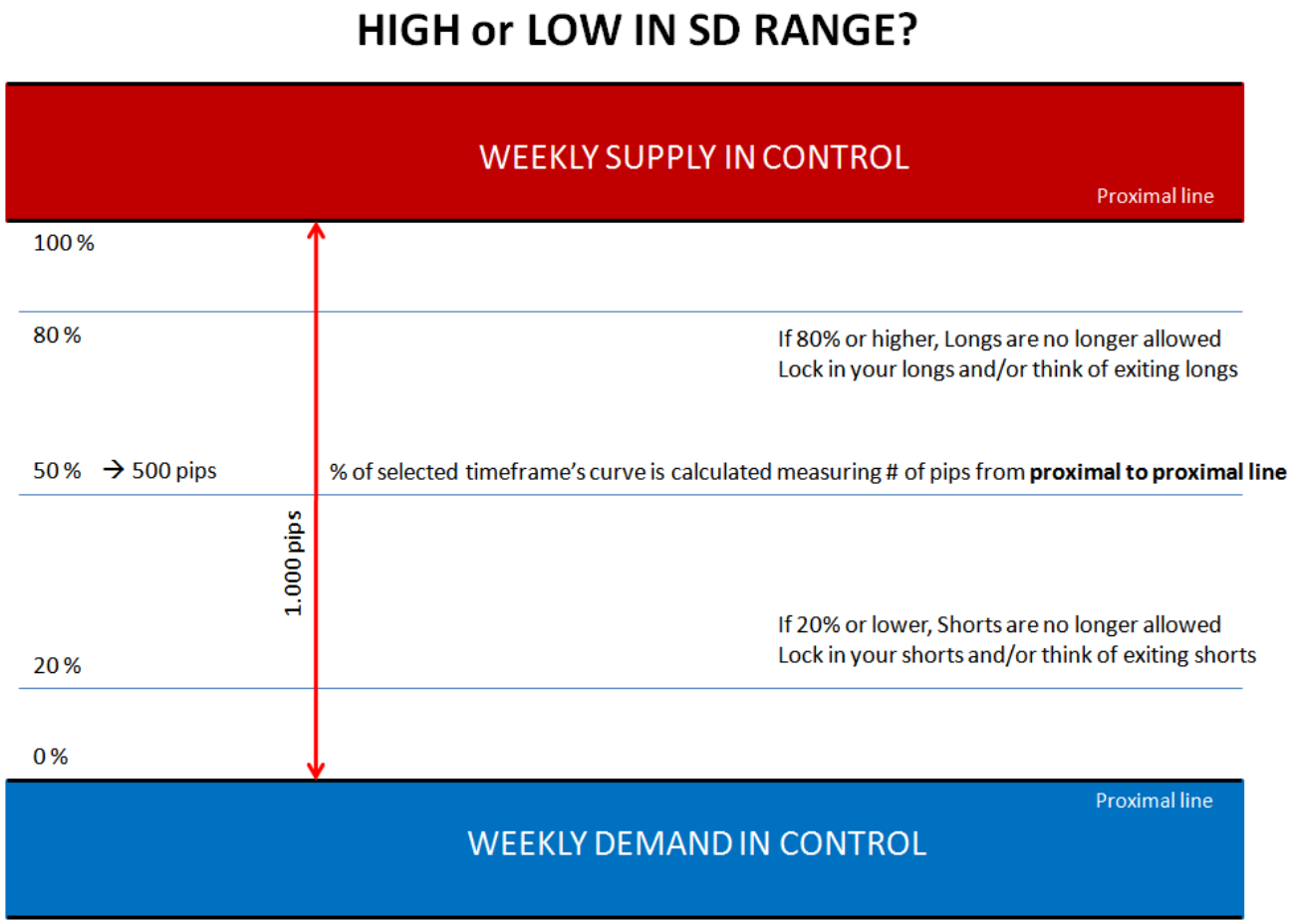
6. **If price is at a higher timeframe supply (D1, WK or Monthly), don't go long**. Wait patiently for a short setup, either set & forget at an original and fresh supply level on H1/H4, OR wait for a brand new level of supply to be formed and sell the pullback. Opposite for higher timeframe demand.

There are rules for the range. The rectangle reader indicator will help you assess how high or low price is in the range. In a trending market the closes valley/peak/CP will be one extreme of the range... The opposing zone should be a peak/valley since CPs are not used as part of the range if it goes against a trend.

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HIGH OR LOW IN THE RANGE? WHAT TO DO



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SET AND FORGET versus CONFIRMATION TRADES

Set and forget trading is as simple as its name implies, you just set the trade up and then forget about it for a period of time. This way of trading has two major benefits:

1. **It makes it far easier to remove your emotions from the equation**. Emotions are your worst enemy when trading

2. It also allows you to enjoy your life as you normally would, because you will not be spending countless hours staring at of your computer over-analysing the markets

Unfortunately, traders become lost with the huge amount of data that available over the internet and TV. It is extremely easy to experience analysis paralysis while trying to trade forex or any other financial market. It can be overwhelming to try and make sense of all this information and create a forex trading plan based off this amount of information.

Once you do a certain amount of analysis on any instrument, any further time spent analysing this data is likely to have a negative effect on your trading, the outcome is usually the same, it causes you to lose money.

The belief that more is better, is a psychological trap that often keeps us from consistently profiting in the forex market, and is the reason why many blow out their trading accounts and eventually give up all together. I've gone though this process and I believe that all traders have and should go through it, it's part as your evolution as a trader.

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SET AND FORGET versus CONFIRMATION TRADES

PRICE AT WEEKLY DEMAND IN CONTROL?

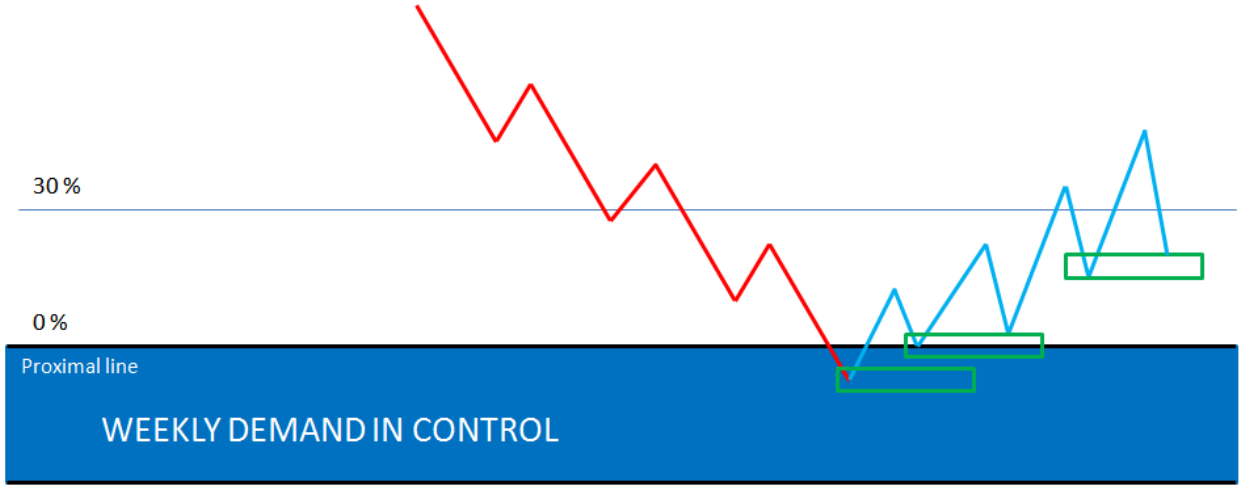
DAILY as entry TF

CONFIRMATION

1. Wait for price to form BRAND NEW levels of demand on D1 within the WK demand area
2. Wait for D1 WoW longs as confirmation
3. Set limit orders at fresh areas of demand (blue rectangles). CPs often happen often at the beginning of the realignment

SET & FORGET

1. Look for original and fresh levels of demand within the WK demand zone
2. Set limit orders at the proximal line of those zoneS



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LESS IS MORE: SET IT AND FORGET IT

How can we achieve consistent profitability trading forex or Stocks if it looks like we have been coded to make things more complex than they are? The very first step in this process is accepting the fact that you cannot control the markets, you don't need to feed your ego. The markets do not care what you have done in your life before; it has no emotion and it is not a living entity. The forex market is an arena where human beings express their beliefs about the exchange rate of a certain currency pair.

People that over-complicate their analysis are providing that predictability for the professionals to take advantage of, the money flows from the people who don't know what they are doing to those who know what they are doing (professionals).

An ironic fact about trading forex is that spending less time analyzing the markets, trying to find the perfect trade will actually cause you to make more money faster because you will be more relaxed, less emotional, and thus less likely to over-trade or over-leverage your trading account. This is why swing trading using an intermediate timeframe like the H4 chart will help you improve your results and enjoy your life much more.

When to Set & Forget?

- **Use only fresh levels of supply of demand when the market is trending**. The first pull-back is the safest and has the highest odds of working out
- Use original AND fresh levels if you want to go counter-trend. Make sure your trade has a proper location. **Location is key**, that is, your trade should be located very high in the range for selling and very low in the range for buying
- **LOCATION IS KEY.** Knowing how high or low in your range timeframe is paramount to allow you to set & forget or wait for clues of willing buyers or sellers to enter based on confirmation

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WHEN TO PLAN A CONFIRMATION TRADE INSTEAD OF A SETTING AND FORGETTING A TRADE

There is no such a thing like a confirmation trade really. There is no way that you will have 100% certainty or confirmation that your trade is going to work well, the confirmation trade just adds some more odds to your side, that's all. Trading is about statistics, you just have to play the numbers game.

Maybe you are not comfortable with setting and forgetting your trades or you haven't gained the confidence to do so yet. Don't worry, waiting for confirmation before you place your trade is fine as well, it's just another way of trading supply and demand imbalances. You just need to find your style and stick to it if it works for you, that's key to becoming successful at anything in life, not just trading the forex markets.

What is a confirmation trade?
If we are sure about our entry or we're not confident enough with our set and forget trades we can wait for certain patterns to happen at our entry level.

- Waiting for a brand new supply level if you are looking to go short at a D1 supply area (if the area is not used-up, read below on when not to take them)
- Waiting for a brand new demand level if you are looking to go long at a D1 demand area
- Brand new levels on your entry timeframe will be a clue that there are willing demand or willing supply at that area

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WHEN TO PLAN A CONFIRMATION TRADE INSTEAD OF A SETTING AND FORGETTING A TRADE

When to wait for confirmation

• **At higher timeframe supply and demand areas**. If you are waiting to short at a D1 supply area, you must wait for the D1 supply proximal line to be hit, do not try to go short before the zone is reached, you would be entering too soon, be patient. If it doesn't make it to the D1 supply and price starts dropping, wait for previous demand to be taken out on your entry timeframe

• **At continuation patterns (CP) located near or within a higher timeframe supply and demand area**. Since set & forget is not higher odds at CP against the trend, we should wait for brand new levels being formed off a CP at a higher timeframe supply and demand area

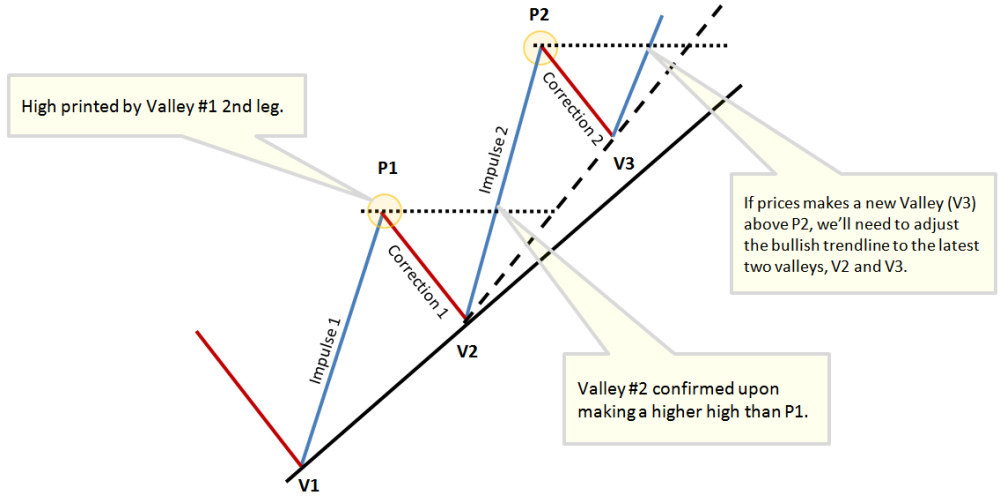
• **When higher timeframe area has already been retested**. If the D1 supply zone has been retested, don't only wait for a brand new area of supply to be formed on your entry timeframe, but also wait for previous opposing entry timeframe demand to be absorbed. You don't want to trade a retested D1 supply area without that confirmation. You can do it but it's not higher odds, remember the first retest has always the higher odds of working out

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USING TRENDLINES AS DIRECTION AS WELL AS FILTERING OUT LEVELS IN A MECHANICAL WAY

- **Trendlines will be drawn on our entry timeframe to assess direction**, that is, the timeframe where your orders will be placed
- Two obvious valleys (uptrend) or peaks (downtrend) are needed in order to draw a trendline
- The second valley MUST make a higher high than the first valley's second leg (highest high made by the previous valley) before it's confirmed as a good valley
- **Use the last 2 obvious valleys and peaks** in order to draw a trendline. If there is a third obvious peak/valley that matches the previous 2 ones, we would extend the TL to it



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TRADE MANAGEMENT, BREAKEVEN AND EXIT TACTICS

A TRADE SETUP IS COMPOSED OF 5 STAGES:

PRE-PLANNING

- Do not take any trades if it's not pre-planned
- Analyze the market and decide if you have a valid trade as per the rules, room to opposing higher timeframe (HTF) supply and demand (SD)area, that is, following your trade plan
- Set your limit order and wait for the setup to be triggered

TRADE EXECUTION

- The trade is executed by your broker. Now you are in the trade
- Control your emotions at this stage. You risked a % of your equity, it's a number's game
- Don't touch it if the rules still apply
- Walk away from the charts

MOVING THE SL TO BREAKEVEN

- When to move your SL to Breakeven to protect your trade

TAKE PROFIT AND TARGETS

- Which are your targets? You have 1 or more targets?
- Will you exit at an opposing SD area?
- Will you trail your SL above/below new SD zones until price reaches a HTF SD zone?

We've already covered the first 3 stages, now it's time to cover 2 key aspects of any trade setup.

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WHEN TO MOVE STOP LOSS TO BREAKEVEN + SPREAD

As a rule of thumb we'll be moving our SL to Breakeven once our trade has moved at least 2:1 R/R (Risk/Reward) from our entry point.

For example:
• Long entry triggered at 1.1000, our SL is set 25 pips below at 1.0075, THEN we'll move our SL to BE to entry price once price has travelled 50 pips (2 RR) in our direction
• Short entry triggered at 1.5500, our SL is set 35 pips above at 1.5535, THEN we'll move our SL to BE to entry price once price has travelled 70 pips (2 RR) in our direction

RULES TO MOVE SL TO BREAKEVEN

• Move your SL to BE + Spread/Commissions after 2:1 R/R
• Other options:
    - Move SL to BE + Spread/Commissions after 3:1 R/R to allow price to breath a bit more You trust in your level and you don't want to have your entry retested and kicked out of a winning trade
    - Don't move your SL to BE, your trade is either a win or a loss You don't care what price does, you want your trade to move far away from your entry price before you touch your SL

PROS AND CONS OF MOVING YOUR SL TO BREAKEVEN AT 2:1 R/R

PROS

- Your trade is safe, your ego will feel satisfied and you will breath better
    - Your fear of losing is under control
    - You can concentrate on other setups and forget about this one since it's now safe, you can't lose (exception: Sunday open gaps and big news events do not respect your SL)

CONS

- Price can retest your entry before it finally takes off of your entry level, this happens VERY often
- Your ego will fight against you if it sees that price kicked you out of a valid trade on a first retest and the trade played out really well without you riding it
- You can miss very good trades if you don't allow price to breath enough to accumulate/distribute before taking off

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WHAT CAN YOU DO TO PREVENT PRICE FROM KICKING YOU OUT OF THE TRADE ON A RETEST?

You are tired of seeing your entries retested and then see your level working well without you riding it? We need to let price breath and orders be filled by market makers and big institutions. There are some options to prevent that from happening:

1. Move your Stop Loss (SL) to Breakeven (BE) + Spread/Commissions after 3:1 or 4:1 R/R allowing price to breath a bit more

2. Do not move the SL to (BE) after your minimum R/R ratio has been reached
- Leave the SL where it originally was, above/below your level's distal line, and let the trade breath and take off

3. Close half of your position at 2:1 R/R or even 3:1 R/R and leave your SL alone
- By doing this, your trade is safe, you can't lose, fear is under control and you will feel more relaxed
- If you close 1/2 of your position at 2:1 R/R, you will sacrifice half of your position but you will kick your ego hard in the ***, the trade is now safe, you can't lose
- Manage your SL manually as described below

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TARGETS: HOW TO MANAGE YOUR STOP LOSS WHEN YOUR TRADE IS RUNNING

Once your trade is running, there are several ways of managing your SL. Managing your SL is key to become profitable, you have to have rules in order to prevent you from closing your trade too soon.

First of all, you need to define your targets. A target can be either fixed or dynamic. A fixed target (exit) is a specific price where you will exit your trade. This price can be different depending on which type of exit you decide. You must make a decision before on the pre-plan stage of your trade.

TYPE OF FIXED EXITS: be realistic!

- Targets 1, 2, 3 or more can be at opposing SD areas
    - You analyse your entry TF and locate good opposing SD areas where you are going to set your Targets at. Always a few pips before within the zone, never at the zone

- Exit at a specific % amount
    - Define a price based on % amount you want to earn

- Exit at a specific R/R ratio amount
    - Define a Risk/Reward ratio at which you want to exit your trade, minimum 3:1. You can set it at 4:1 or 5:1, no matter what zones you have above/below your entry
    - Be realistic, don't set a 5:1 ratio if there is a fresh D1 supply area right at 3:1 off your long entry at demand

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TARGETS: HOW TO MANAGE YOUR STOP LOSS WHEN YOUR TRADE IS RUNNING

TYPE OF DYNAMIC EXITS:

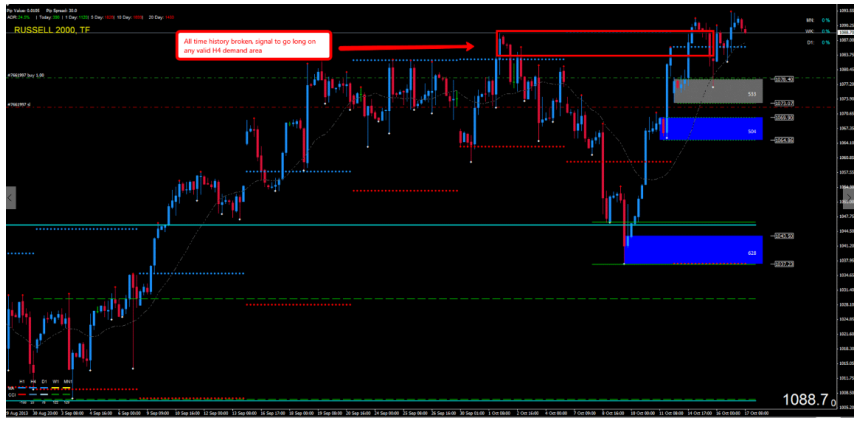
Technical Stop

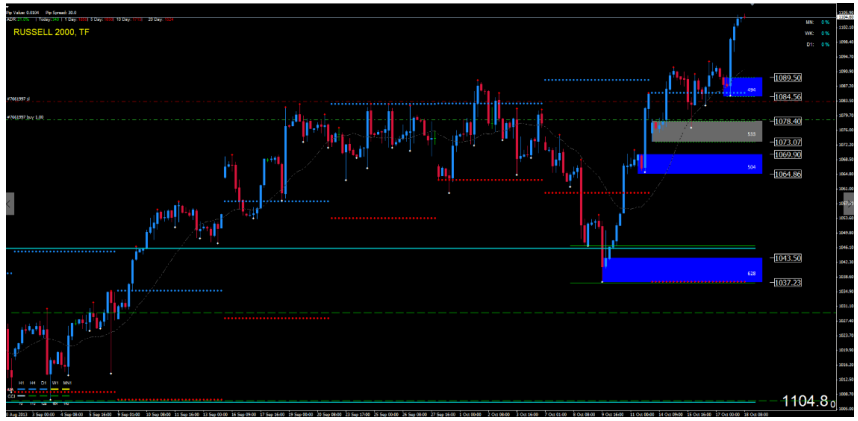
- After your entry place your initial SL under the nearest demand
- After a new Higher High has been printed on the charts, move your SL under Higher Low
- This is the exit that I normally use. Learnt it the hard way

Trendlines

- Since we are using Trendlines in order to assess our trend, it's also logical to use them to exit our trades if they are solidly broken in the opposite direction
- Let price breath and use the TL rules to move your SL, moving SL underneath your TL if you are long, exiting the trade when there is full OHCL candle below the ascending TL. Opposite for a short entry

There are others, these are other like moving average trading, etc, but I won't use them



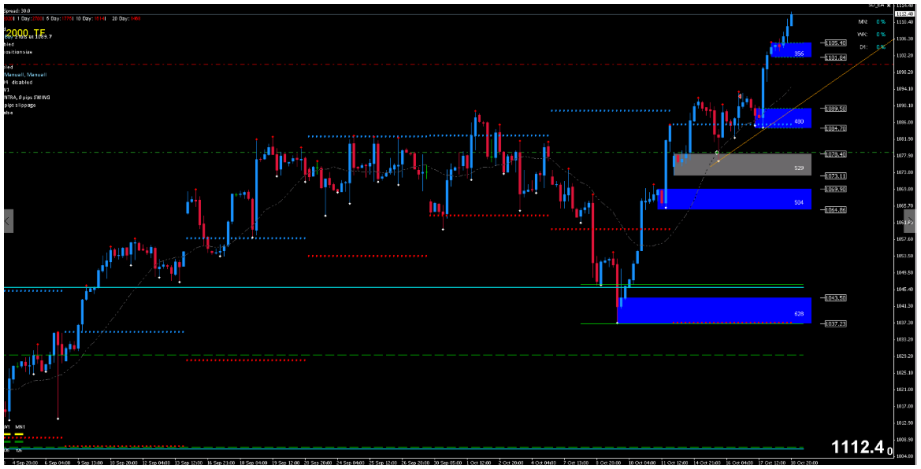


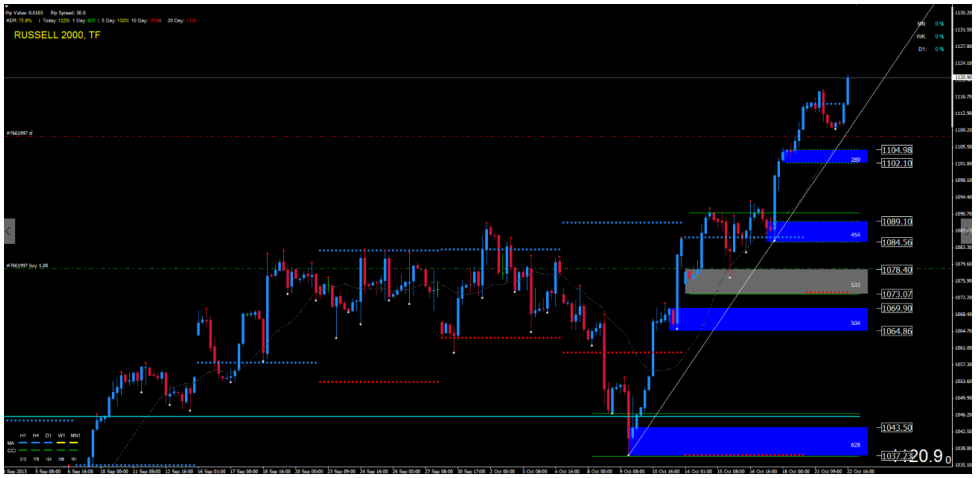
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TARGETS: HOW TO MANAGE YOUR STOP LOSS WHEN YOUR TRADE IS RUNNING





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LEARN MORE BY READING HUNDREDS OF BEFORE THE FACT TRADING ANALYSIS ON MY BLOG

I usually update my trading blog every day with new basic trading ideas every day. These trade commentaries are before the fact scenarios posted way before the trade happens, no after the fact.

You can use any RSS software to retrieve my blog's posts in your desktop. By doing so you will have access to the latest trading analysis as soon as they are posted.

This supply and demand methodology can be applied to any market and timeframe, which is why you will find trading analysis for all markets.

Check out trading ideas for the following markets by following the links below:

- Forex trading ideas
- Stocks
- Indexes
- Commodities
- Metals and Energy

Feel free to comment on any of the posts, I leave no comment unanswered.

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TOO MANY OPTIONS? DON'T WORRY, THERE IS A PLAN

I guess that now your head is clouded with so many different exits rules. You need to make a decision based on what type of trader you are. If you can't make it or are unsure, let me give you some hints.

The exits strategies you chose will be directly related to where you are located in your Higher Timeframe range. If you are right at fresh Weekly supply, don't move your SL to Breakeven at 2:1, come on, BE REALISTIC! Let price breath! If you don't, you will probably have quite a few breakeven, you will most likely miss big runners.

These are the exits strategies that I use, it might help you make a decision. You can use mine as well, you need to make up your mind.

MOMENTUM Trade Setups with room to HTF SD zone

- Close 25% or 1/2 of your position at 2:1 or 3:1 R/R and leave your SL alone a few pips away from my zone's distal line
    - By doing this, your trade trade is safe, you can't lose, fear is under control and your ego won't be bothering you
    - You will sacrifice part of your position but you will kick your ego hard in the ***, the trade is now safe, you can't let it run hundreds of pips IF there is room for that of course, but fear of losing is out of the game
- Manage your SL manually using Technical Stops

LOCATION and MOMENTUM+LOCATION Trade Setups with room to HTF SD zone

- Close half of your position at 3:1 or 4:1 R/R and leave your SL alone
    - A location type of trade can be a turning point in the markets, not to say if it's a fresh WK supply with a Monthly downtrend, that trade can be a runner, don't play with your SL, leave it alone
    - A location + momentum setup can become a rocket, don't play with rockets, you may regret
    - Wait for a nice departure off your level and for brand NEW SD zones to move your SL a few pips above/below those new zones distal lines
- Manage your SL manually using Technical Stops

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WHEN TO TRADE AND NOT TO TRADE. NEWS AND SLOW MARKETS

It's also good to know when to and when not to trade. There are times when we should not be trading because it can result in unnecessary losses. There are traders out there that love trading the news, you can earn a lot of money but you can also lose a lot. I just prefer to stay out of big news events and take my day off.

If trading the bigger timeframes, Daily and higher, news is irrelevant.

NEWS

• **Stay away of big news events** like central banks % interest rates, CPI, NFP and BCE/FOMC speeches/minutes

• **Take your day off when there are big news** like NFP or a BCE/FOMC speech, we don't want to gamble, we want to trade. Price can go anywhere

• **Earnings announcements for a Stock.** If we already are at breakeven on a trade, we will decide if we want to keep it or close it depending on what the SD technical analysis is telling us to do. We may decide to lock in some profits moving the SL above/below previous valid SD zone and see what happens after the news

Do not scale in or add new positions a couple of hours before, after or during big news events, wait for price to either resume previous trend or break it, do not anticipate or assume something is going to happen because you don't know what's going to happen. This is Rule #1 in trading: we don't know what's going to happen

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WHEN TO TRADE AND NOT TO TRADE. NEWS AND SLOW MARKETS

SLOW MARKETS

• **Stay out of H1 SD levels formed during slow market conditions**, normally after major market closes or during the Asian session, unless the pair is composed of 2 Asian currencies, for instance AUDJPY. Be patient and wait for some volatility and new SD levels formed during fast markets like the London and NY sessions

• **Monday mornings are normally very slow**, usually no news events. After Monday's NY session sometimes the markets will start moving a bit. Trade only clear levels during these times

LATE FRIDAY AND SUNDAY OPEN

• **Friday NY sessions are not that volatile normally**. If you only trade the NY session, take your day off
• If you have orders open on Friday, it's wise to close them unless you are a position trader. You don't want to be caught by a big gap on Sunday open due to speculations or an unplanned high impact news event that occurred during the weekend
• **Avoid trading Sunday open**, spreads are widened due to the lack of liquidity during those market hours, gaps may occur due to unexpected high impact news resulting in your SL not being respected at all

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FORWARD TESTING IS KEY TO BECOME A PROFITABLE TRADER

Forward testing is KEY to becoming a successful trader. No matter how great rules prove to be to me or any other trader, or how great your trading plan is, they are useless if you don't have the experience, and screen time to trade them. No matter how many times you watch my videos or read the posts on the forum, you will most likely fail to become profitable.

Why is this? Because **you need screen time**. You need to forward test the rules hundreds and thousands of time. Your brain needs to absorb all that experience; your neurons need to create those connections that will give you an instant reaction to a particular scenario you've lived hundreds of times. You can only achieve that if you practice a lot.

Once thing that will happen to you as you forward test is that after some days you will stop doing it because either a) you can't make it work or b) you are being successful and you think you are already there. WRONG. You have to spend months of forward testing, a couple of hours a day.

Experience and new habits will NOT be imprinted on your neurons if you do not practice for months, the same way you will never learn a new a new language by just reading a grammar book, or learn to dance if you do not practice for years dancing with different couples (I've been a salsa teacher for 7 years, so I can't talk about this).

The video below will quickly show you how to set up Forex Tester 2 for SD forward testing. You need to purchase it of course, but it's a cheap investment, the best investment you will ever make if you are serious about trading. You don't need to purchase the extra Data Feed from them, the one they have for free is more than enough for testing H1/H4 entries. I will be recording other videos in the forthcoming future, but they will only be available on the private community.

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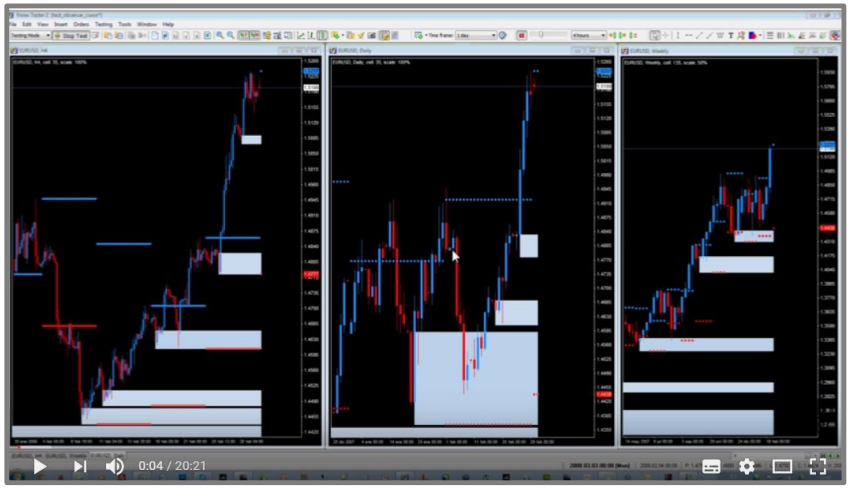
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FORWARD TESTING IS KEY TO BECOME A PROFITABLE TRADER

This first video shows how to install Forex Tester and to prepare it for forward testing supply and demand.

Click on the images video to launch videos.



This second video is a 2 hours video, a saga that I've started to record so that others see all the puzzles of the jigsaw get together, how I think on SD terms and how I apply the rules.



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WATCH THE VIDEOS TO LEARN MORE ABOUT SUPPLY AND DEMAND

Do not ask any question on the thread UNLESS you haven't watched the videos below and understood them. All the doubts you have will be solved when you watch them as well as several webinars available on my YouTube page http://www.youtube.com/user/supplyanddemandforex

1. How to use timeframe combinations and the 3 types of setups available.

It's also a very important one because it requires that you make a decision now and decide which type of trader you are, a swing, intraday or position trader.

Watch this video as many times as you can, this is how I believe, it's just my opinion, how supply and demand works. It's key that you do not switch timeframe combos during the same session. Stick to the same timeframe combo always and master it until you create a habit and become proficient and confidence with it.

The webinar covered:

• What type of timeframe combinations you can choose from and what type of trader you can choose from
• What to use the range timeframe (bigger picture) for and what to you the entry timeframe for (drawing your levels and managing your trades)
• When to go counter-trend (location trade), when to go with the trend (momentum trades) and when to use both (momentum + location)
• When to use each of the 3 types of trades
• How to draw trendlines to assess direction and filter out levels above or below it

http://youtu.be/K_9YMbpKtNU

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2. How to mechanically pre-plan a supply and demand trade

There are certain variables you need to take into account when pre-planning a trade, the default values differ whether it's a long or a short trade, it is also different if you are trading a major pair versus a cross pair, or if you are planning an intraday or a swing trade.

These variables are:
• **Entry padding**
• **Wiggle room padding** to protect your SL from market makers and spread widening
• Number of pips above/below opposing level for your take profit
• It's paramount that you take into account these variables, otherwise you might probably miss many entries as well as not reaching your TP for a few pips.

WATCH THIS VIDEO

https://youtu.be/sN-2iKwy8DU

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4. Webinar on how to trade the Monthly/Daily combination going through 3 live trades
On this video I covered trend trading using the Monthly/Daily combo and Monthly range. It's much better to have the higher timeframes with you on any trade setup. We went through all the reasons why I took 3 of the live trades that I had running at the moment when the webinar was being held: USDCHF H4 short, GBPJPY H4 long and CADJPY long.

Hopefully by going through these live trades, you will understand the rules much better, how we made a top-down analysis from the Monthly down to the D1 and H4 entry timeframes.

http://youtu.be/5O2y--2O01I

5. Webinar on how to trade the Monthly/Daily combination going through 7 live trades and analysing possible setups
We covered a few things while going through a bunch of trades I had triggered on my account:

How to trade with the Monthly/Daily combo, position trading
When to use H4 as your entry timeframe, when the D1 zone is too wide or we already have price bouncing off a SD D1 zone
How trendlines can help us assess trend and negate/validate a level on our entry timeframe

We covered a few live trades (some of them could be losses, but they were valid ones when they were taken):

- AUDCAD H4 short at D1 supply
- EURJPY H4 long
- CHFJPY H4 long (similar trade to EJ)
- GBPJPY H4 long (similar trade to previous two, but a loss)
- USDCAD D1 long
- NZDUSD H4 short
- S&P e-mini H1 long at D1 demand

The trades were discussed in more detail at www.set-and-forget.com, on the weekly analysis videos and the forum itself.
http://youtu.be/St-9ytkDcJg

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